Set 49: Break-even with stated assumptions

Outcome ENT.PRICE.03: Find a break-even quantity from fixed costs and profit per item

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
The BREAK-EVEN point is the number of sales at which total revenue equals total cost, so profit is zero. Each sale contributes (price - variable cost per item) toward fixed costs. Break-even units = fixed costs / (price - variable cost). Example (assumptions): fixed costs 600 dollars a month, price 15 dollars, variable cost 5 dollars: 600 / 10 = 60 sales. Sales above break-even create profit; sales below create a loss. Write down the assumptions; if any change, recalculate. Round UP, because you cannot sell part of an item.

Fixed costs 800 dollars, price 20 dollars, variable cost 10 dollars. What is break-even?

A. 40 sales
B. 27 sales
C. 80 sales
D. 8,000 sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-M-Q1
Entrepreneurship, Set 49: Break-even with stated assumptions · MAIN · Q1/5 · Outcome ENT.PRICE.03 (local)

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What is profit exactly at break-even?

A. Equal to fixed costs
B. Zero
C. Negative
D. Equal to revenue

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-M-Q2
Entrepreneurship, Set 49: Break-even with stated assumptions · MAIN · Q2/5 · Outcome ENT.PRICE.03 (local)

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What does each sale contribute toward fixed costs?

A. The whole price
B. Price plus variable cost
C. Fixed cost divided by price
D. Price minus variable cost

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-M-Q3
Entrepreneurship, Set 49: Break-even with stated assumptions · MAIN · Q3/5 · Outcome ENT.PRICE.03 (local)

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Fixed costs 500 dollars, contribution 3 dollars per sale. What is break-even, rounded up?

A. 167 sales
B. 166 sales
C. 1,500 sales
D. 503 sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-M-Q4
Entrepreneurship, Set 49: Break-even with stated assumptions · MAIN · Q4/5 · Outcome ENT.PRICE.03 (local)

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If the price drops and costs stay the same, what happens to break-even?

A. It becomes zero
B. It stays the same
C. It rises
D. It falls

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-M-Q5
Entrepreneurship, Set 49: Break-even with stated assumptions · MAIN · Q5/5 · Outcome ENT.PRICE.03 (local)

Learn
Break-even is a division: fixed costs divided by contribution per sale. If the answer is not a whole number, round UP to the next whole number, because a partial sale is not possible and rounding down would leave you short. Example: 250 / 6 = 41.67, so 42 sales. Check: 42 x 6 = 252, which covers 250; 41 x 6 = 246, which does not.

What is 300 / 7, rounded up?

A. 44
B. 2,100
C. 42
D. 43

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-B1-Q1
Entrepreneurship, Set 49: Break-even with stated assumptions · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PRICE.03 (local)

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Why round break-even UP?

A. Rounding does not matter
B. Rounding down leaves costs uncovered
C. Rounding up always gives the wrong answer
D. Partial sales are common

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-B1-Q2
Entrepreneurship, Set 49: Break-even with stated assumptions · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PRICE.03 (local)

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What is 400 / 8?

A. 50
B. 3,200
C. 408
D. 32

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-B1-Q3
Entrepreneurship, Set 49: Break-even with stated assumptions · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PRICE.03 (local)

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Does 41 x 6 cover 250?

A. No, it is 206
B. Yes, it is 256
C. No, it is 246
D. Yes, it is 250

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-B1-Q4
Entrepreneurship, Set 49: Break-even with stated assumptions · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PRICE.03 (local)

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What is 1,000 / 9, rounded up?

A. 110
B. 111
C. 9,000
D. 112

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-B1-Q5
Entrepreneurship, Set 49: Break-even with stated assumptions · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PRICE.03 (local)

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A food truck has fixed costs of 2,400 dollars a month. Each meal sells for 12 dollars and costs 4 dollars to make. How many meals per month to break even?

A. 200 meals
B. 300 meals
C. 150 meals
D. 600 meals

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F1-Q1
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PRICE.03 (local)

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A food truck needs 300 meals a month to break even (2,400 dollars of fixed costs, a 12-dollar price, a 4-dollar cost per meal). It is open 25 days a month. About how many meals per day does it need to break even?

A. 12 meals
B. 8 meals
C. 25 meals
D. 300 meals

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F1-Q2
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PRICE.03 (local)

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The food truck must sell 12 meals a day for 25 days to break even (2,400 dollars of fixed costs, 12-dollar price, 4-dollar cost per meal). The owner expects 9 meals a day. What does that mean?

A. Break-even does not matter
B. Costs will fall automatically as the truck gets busier
C. The plan makes a large profit
D. The plan loses money unless something changes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F1-Q3
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PRICE.03 (local)

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The food truck has 2,400 dollars of fixed costs a month and a 4-dollar cost per meal. If it raises its price from 12 to 14 dollars, what is the new break-even per month?

A. 172 meals
B. 400 meals
C. 240 meals
D. 300 meals

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F1-Q4
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PRICE.03 (local)

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Which assumption should be written down with the food truck's break-even (2,400 dollars of fixed costs, 12-dollar price, 4-dollar cost per meal)?

A. The logo stays the same

B. The truck color

C. The owner's favorite meal

D. Meal cost stays 4 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F1-Q5
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PRICE.03 (local)

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A studio's break-even was 50 classes using a 30-dollar price and 10-dollar cost (1,000 dollars fixed). Rent rises by 200 dollars. What is the new break-even?

A. 60 classes
B. 50 classes
C. 70 classes
D. 40 classes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F2-Q1
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PRICE.03 (local)

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A seller forgot payment fees of 1 dollar per sale. Price 15, variable cost 5, fixed 600. What is the corrected break-even, rounded up?

A. 55 sales
B. 67 sales
C. 60 sales
D. 40 sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F2-Q2
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PRICE.03 (local)

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Break-even is 200 units, but the market research suggests only about 120 buyers. What is the best response?

A. Rethink price, costs or the plan before launching

B. Launch anyway and hope that more buyers appear later

C. Ignore the research

D. Double the fixed costs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F2-Q3
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PRICE.03 (local)

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Variable cost is 0 dollars for a digital download. Fixed costs are 900 dollars and price is 15 dollars. What is break-even?

A. 13,500 sales

B. 0 sales

C. 900 sales

D. 60 sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F2-Q4
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PRICE.03 (local)

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Which statement is accurate?

A. Break-even is only as good as its assumptions.
B. Break-even ignores fixed costs.
C. Break-even guarantees the business will succeed.
D. Break-even never changes once found.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F2-Q5
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PRICE.03 (local)

Set 50: Payment-processing fees

Outcome ENT.PRICE.04: Include a stated processing fee when finding what a sale brings in

Module: Foundation 7: Costs, pricing and cash

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Learn
When customers pay by card or app, the payment processor keeps a fee. A common structure is a percentage of the sale plus a fixed amount per transaction, for example (an assumption, not a real quote) 2.9 percent + 0.30 dollars. On a 40-dollar sale that is 0.029 x 40 + 0.30 = 1.46 dollars, so the business receives 38.54 dollars. The fixed part hurts small sales most: on a 3-dollar sale, 0.30 dollars alone is 10 percent. Include fees in cost per sale when setting prices.

Using 2.9 percent + 0.30 dollars, what is the fee on a 100-dollar sale?

A. 2.90 dollars
B. 3.20 dollars
C. 0.30 dollars
D. 3.00 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-M-Q1
Entrepreneurship, Set 50: Payment-processing fees · MAIN · Q1/5 · Outcome ENT.PRICE.04 (local)

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Using the same fee, how much does the business receive from a 100-dollar sale?

A. 97.10 dollars
B. 99.70 dollars
C. 100.00 dollars
D. 96.80 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-M-Q2
Entrepreneurship, Set 50: Payment-processing fees · MAIN · Q2/5 · Outcome ENT.PRICE.04 (local)

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Why does the fixed part hurt small sales most?

A. Small sales have no percentage fee
B. It is charged only on large sales
C. It is a larger share of a small price
D. Processors waive fees on large sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-M-Q3
Entrepreneurship, Set 50: Payment-processing fees · MAIN · Q3/5 · Outcome ENT.PRICE.04 (local)

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On a 3-dollar sale, what percent of the price is the 0.30-dollar fixed part?

A. 10 percent
B. 30 percent
C. 3 percent
D. 1 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-M-Q4
Entrepreneurship, Set 50: Payment-processing fees · MAIN · Q4/5 · Outcome ENT.PRICE.04 (local)

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Where should processing fees appear when setting prices?

A. Only in the yearly tax return
B. Only in the owner's personal budget
C. In the cost of each sale
D. Nowhere, because customers pay them separately

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-M-Q5
Entrepreneurship, Set 50: Payment-processing fees · MAIN · Q5/5 · Outcome ENT.PRICE.04 (local)

Learn
Many fees follow "rate x amount + fixed." Change the percent to a decimal, multiply by the amount, then add the fixed part. Example: 3 percent of 50 plus 0.25: 0.03 x 50 = 1.50, then 1.50 + 0.25 = 1.75. A common mistake is forgetting the fixed part or using 3 instead of 0.03. Check: the fee should be much smaller than the sale.

What is 0.03 x 50 + 0.25?

A. 1.50
B. 0.28
C. 150.25
D. 1.75

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-B1-Q1
Entrepreneurship, Set 50: Payment-processing fees · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PRICE.04 (local)

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2 percent as a decimal is what?

A. 0.002
B. 0.02
C. 0.2
D. 2.0

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-B1-Q2
Entrepreneurship, Set 50: Payment-processing fees · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PRICE.04 (local)

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What is 0.02 x 80 + 0.10?

A. 1.70
B. 0.12
C. 1.60
D. 160.10

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-B1-Q3
Entrepreneurship, Set 50: Payment-processing fees · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PRICE.04 (local)

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A fee of 25 dollars on a 20-dollar sale suggests what?

A. The fee is correct
B. The percent was not converted to a decimal
C. The fixed part of the fee was forgotten entirely
D. The sale was 2,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-B1-Q4
Entrepreneurship, Set 50: Payment-processing fees · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PRICE.04 (local)

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What is 0.04 x 25 + 0.50?

A. 1.00
B. 0.54
C. 1.50
D. 100.50

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-B1-Q5
Entrepreneurship, Set 50: Payment-processing fees · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PRICE.04 (local)

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A seller's cost per item is 12 dollars and she charges 20 dollars. Fee is 2.9 percent + 0.30 dollars. What does each sale contribute after the fee?

A. 7.42 dollars

B. 8.00 dollars

C. 7.70 dollars

D. 7.12 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F1-Q1
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PRICE.04 (local)

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A café sells 2-dollar cookies by card. Same fee. What is the fee per cookie?

A. 0.36 dollars
B. 0.58 dollars
C. 0.30 dollars
D. 0.06 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F1-Q2
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PRICE.04 (local)

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To reduce the fee share on small items, which option fits?

A. Hide the fee from her records
B. Encourage bundles, like 3 cookies for one payment
C. Raise the fixed fee by choosing a new processor
D. Split every sale into smaller payments

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F1-Q3
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Monthly card sales are 4,000 dollars over 200 sales. Same fee. What are total fees?

A. 1,160 dollars

B. 60 dollars

C. 176 dollars

D. 116 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F1-Q4
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PRICE.04 (local)

Learn
When customers pay by card or app, the payment processor keeps a fee. A common structure is a percentage of the sale plus a fixed amount per transaction, for example (an assumption, not a real quote) 2.9 percent + 0.30 dollars. On a 40-dollar sale that is 0.029 x 40 + 0.30 = 1.46 dollars, so the business receives 38.54 dollars. The fixed part hurts small sales most: on a 3-dollar sale, 0.30 dollars alone is 10 percent. Include fees in cost per sale when setting prices.

Processor A: 2.6 percent + 0.10 dollars. Processor B: 2.9 percent + 0.30 dollars. Which is cheaper for a 20-dollar sale?

A. B, at 0.88 dollars

B. A, at 0.52 dollars

C. They cost the same

D. A, at 0.62 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F1-Q5
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PRICE.04 (local)

Learn
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A processor also charges 15 dollars a month. A seller has 30 sales a month. How much does this add per sale?

A. 0.50 dollars

B. 0.15 dollars

C. 2.00 dollars

D. 15.00 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F2-Q1
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PRICE.04 (local)

Learn
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An owner wants to add a card surcharge to customers. What should she check first?

A. Nothing; surcharges are always allowed
B. Laws and processor rules on surcharges
C. Only whether customers will notice
D. Whether her competitors like the idea

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F2-Q2
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PRICE.04 (local)

Learn
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An invoice of 1,000 dollars is paid by card at 2.9 percent + 0.30. What is received?

A. 971.00 dollars

B. 999.70 dollars

C. 1,000.00 dollars

D. 970.70 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F2-Q3
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PRICE.04 (local)

Learn
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A seller compares processors only on the percentage. What might she miss?

A. The weather
B. Her customers' names
C. Fixed and monthly fees
D. Her own logo colors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F2-Q4
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PRICE.04 (local)

Learn
When customers pay by card or app, the payment processor keeps a fee. A common structure is a percentage of the sale plus a fixed amount per transaction, for example (an assumption, not a real quote) 2.9 percent + 0.30 dollars. On a 40-dollar sale that is 0.029 x 40 + 0.30 = 1.46 dollars, so the business receives 38.54 dollars. The fixed part hurts small sales most: on a 3-dollar sale, 0.30 dollars alone is 10 percent. Include fees in cost per sale when setting prices.

Which statement is accurate?

A. Every payment processor charges exactly 2.9 percent plus 0.30 dollars.
B. Fees vary by provider and plan, so read current terms.
C. Fees never change.
D. Fees only apply to large businesses.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F2-Q5
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PRICE.04 (local)

Set 51: Refunds and discounts

Outcome ENT.PRICE.05: Find the effect of refunds and discounts on revenue and profit

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Discounts and refunds reduce what a sale brings in, often more than people expect. A 20 percent discount on a 25-dollar item with a 15-dollar cost cuts the contribution from 10 dollars to 5 dollars: half the money from that sale. A REFUND gives money back; the item may come back damaged or not at all, and some processors do not return their fee. Write a clear refund policy (time limit, condition of returns, who pays shipping) and post it before customers buy.

A 25-dollar item costs 15 dollars. With a 20 percent discount, what is the new price?

A. 24.80 dollars
B. 5 dollars
C. 30 dollars
D. 20 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-M-Q1
Entrepreneurship, Set 51: Refunds and discounts · MAIN · Q1/5 · Outcome ENT.PRICE.05 (local)

Learn
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Same item. What is the contribution after the discount?

A. 20 dollars
B. 15 dollars
C. 5 dollars
D. 10 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-M-Q2
Entrepreneurship, Set 51: Refunds and discounts · MAIN · Q2/5 · Outcome ENT.PRICE.05 (local)

Learn
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What should a refund policy state?

A. Only the store's opening date
B. The time limit, return condition and who pays shipping
C. Nothing at all, because written policies only confuse customers
D. Only the owner's favorite products

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-M-Q3
Entrepreneurship, Set 51: Refunds and discounts · MAIN · Q3/5 · Outcome ENT.PRICE.05 (local)

Learn
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When should a refund policy be shown?

A. Before customers buy
B. Never
C. Only after a complaint
D. Only once a year in an email

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-M-Q4
Entrepreneurship, Set 51: Refunds and discounts · MAIN · Q4/5 · Outcome ENT.PRICE.05 (local)

Learn
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A 10-dollar discount on an item with a 12-dollar contribution leaves what contribution?

A. 12 dollars
B. 2 dollars
C. 22 dollars
D. 10 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-M-Q5
Entrepreneurship, Set 51: Refunds and discounts · MAIN · Q5/5 · Outcome ENT.PRICE.05 (local)

Learn
To take a percent off, multiply by (1 - the decimal). 20 percent off means multiply by 0.80; 15 percent off means multiply by 0.85. Example: 40 dollars with 25 percent off: 40 x 0.75 = 30 dollars. Or find the discount first: 0.25 x 40 = 10, then 40 - 10 = 30. Both ways give the same answer.

What is 50 with 20 percent off?

A. 10
B. 30
C. 49.80
D. 40

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-B1-Q1
Entrepreneurship, Set 51: Refunds and discounts · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PRICE.05 (local)

Learn
To take a percent off, multiply by (1 - the decimal). 20 percent off means multiply by 0.80; 15 percent off means multiply by 0.85. Example: 40 dollars with 25 percent off: 40 x 0.75 = 30 dollars. Or find the discount first: 0.25 x 40 = 10, then 40 - 10 = 30. Both ways give the same answer.

15 percent off means multiply by what?

A. 85
B. 1.15
C. 0.85
D. 0.15

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-B1-Q2
Entrepreneurship, Set 51: Refunds and discounts · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PRICE.05 (local)

Learn
To take a percent off, multiply by (1 - the decimal). 20 percent off means multiply by 0.80; 15 percent off means multiply by 0.85. Example: 40 dollars with 25 percent off: 40 x 0.75 = 30 dollars. Or find the discount first: 0.25 x 40 = 10, then 40 - 10 = 30. Both ways give the same answer.

What is 60 with 25 percent off?

A. 15
B. 45
C. 35
D. 75

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-B1-Q3
Entrepreneurship, Set 51: Refunds and discounts · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PRICE.05 (local)

Learn
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What is 10 percent of 30?

A. 0.3
B. 27
C. 3
D. 300

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-B1-Q4
Entrepreneurship, Set 51: Refunds and discounts · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PRICE.05 (local)

Learn
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What is 80 with 10 percent off?

A. 72
B. 88
C. 8
D. 70

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-B1-Q5
Entrepreneurship, Set 51: Refunds and discounts · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PRICE.05 (local)

Learn
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A shop sells 100 shirts a month at 30 dollars with a 18-dollar cost. A 25 percent sale is planned. How many shirts must sell during the sale to earn the same total contribution, rounded up?

A. 200 shirts
B. 125 shirts
C. 100 shirts
D. 267 shirts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F1-Q1
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PRICE.05 (local)

Learn
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A customer returns a 50-dollar item for a full refund. The processor kept a 1.75-dollar fee and does not return it. The item can be resold. What did the return cost the business?

A. 0 dollars
B. 50 dollars
C. 1.75 dollars
D. 51.75 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F1-Q2
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PRICE.05 (local)

Learn
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A returned item arrives damaged and cannot be resold. Its cost was 18 dollars. The refund was 30 dollars. What is the loss compared with no sale?

A. 30 dollars
B. 48 dollars
C. 12 dollars
D. 18 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F1-Q3
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PRICE.05 (local)

Learn
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Which refund policy is clearest?

A. "No questions, no answers, contact us someday."
B. "Returns within 30 days, unused, buyer pays return shipping."
C. "Returns are maybe possible, depending on my mood that week."
D. "Ask a friend about our return rules."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F1-Q4
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PRICE.05 (local)

Learn
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A 10 percent discount for first-time buyers brings 40 new customers who keep buying later. Why might it be worth it?

A. First-time buyers never return
B. Repeat purchases can outweigh the one-time discount
C. Discounts always increase profit on every single sale
D. Discounts remove all costs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F1-Q5
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PRICE.05 (local)

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A customer uses a 20 percent coupon on top of a 20 percent sale. What total discount does she get on a 50-dollar item, applied one after the other?

A. 36 percent
B. 20 percent
C. 4 percent
D. 40 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F2-Q1
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PRICE.05 (local)

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Many customers return items after wearing them once. What should the owner change?

A. Accept every return forever, in any condition
B. Add a clear "unused" condition to the policy
C. Accuse customers publicly
D. Stop selling online

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F2-Q2
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PRICE.05 (local)

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A store says "all sales final" but the law where it sells may require some refunds. What should it check?

A. Only competitors' policies
B. Only its logo
C. Local consumer protection rules
D. Nothing; the store decides alone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F2-Q3
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PRICE.05 (local)

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A 20-dollar item has a 6-dollar contribution, so its cost is 14 dollars. The owner offers 30 percent off. What is the contribution per sale now?

A. 14 dollars
B. 12 dollars
C. 6 dollars
D. 0 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F2-Q4
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PRICE.05 (local)

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Which statement is accurate?

A. Discounts should be checked against contribution before offering them.
B. Bigger discounts always mean more profit.
C. Discounts are always free marketing.
D. Refund policies are optional for online stores, so no one needs to post one.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F2-Q5
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PRICE.05 (local)

Set 52: Owner time and capacity

Outcome ENT.PRICE.06: Include the owner's time and limited capacity when judging a price

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn

An owner's time is limited, so it has a cost. CAPACITY is the most work the business can do in a period. If an owner can work 30 hours a week on paid tasks, that is her capacity. To find an effective HOURLY RATE, divide profit from a job by the total hours it takes, including travel, emails, invoices and setup, not just the visible work. A price that looks high can become a low hourly rate. When capacity is full, serving more customers safely takes qualified help or a better process. Raising prices is a separate choice: it manages demand and earns more per job, but it does not add capacity.

A job earns 120 dollars of profit and takes 4 hours in total. What is the effective hourly rate?

A. 40 dollars an hour

B. 124 dollars an hour

C. 30 dollars an hour

D. 480 dollars an hour

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-M-Q1

Entrepreneurship, Set 52: Owner time and capacity · MAIN · Q1/5 · Outcome ENT.PRICE.06 (local)

Learn

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What is capacity?

A. The most work the business can do in a period

B. The size of the logo file

C. The number of followers on social media

D. The amount of money in savings

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-M-Q2

Entrepreneurship, Set 52: Owner time and capacity · MAIN · Q2/5 · Outcome ENT.PRICE.06 (local)

Learn
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Which hidden time should be counted for a house-cleaning job?

A. Time spent sleeping at night
B. Time the owner spends on a personal hobby
C. Time a customer spends at work
D. Travel and invoicing time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-M-Q3
Entrepreneurship, Set 52: Owner time and capacity · MAIN · Q3/5 · Outcome ENT.PRICE.06 (local)

Learn

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A job pays 200 dollars of profit for 5 hours of work plus 3 hours of travel and email. What is the true hourly rate?

A. 40 dollars an hour

B. 25 dollars an hour

C. 66.67 dollars an hour

D. 1,600 dollars an hour

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-M-Q4

Entrepreneurship, Set 52: Owner time and capacity · MAIN · Q4/5 · Outcome ENT.PRICE.06 (local)

Learn

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Capacity is full. Which option lets the business complete more work safely?

A. Work 20 hours a day indefinitely

B. Ignore all new requests without replying

C. Take every new job and skip quality checks

D. Get qualified help or improve the process

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-M-Q5

Entrepreneurship, Set 52: Owner time and capacity · MAIN · Q5/5 · Outcome ENT.PRICE.06 (local)

Learn
A bus has a fixed number of seats. Once they are full, no more people can ride that trip, no matter how many wait. An owner's week is like the bus: it has a fixed number of working hours. Each job takes some seats, including the "hidden" seats for travel and paperwork. When the hours are full, a bigger bus (help) or more trips (more hours) carry more riders. A pricier ticket (higher prices) adds no seats, but it changes who rides and earns more per seat.

A full bus is like what?

A. A big savings account
B. An empty calendar
C. A full work week
D. A new logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-B1-Q1
Entrepreneurship, Set 52: Owner time and capacity · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.PRICE.06 (local)

Learn
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The "hidden seats" are like what?

A. Customer reviews online
B. Travel and paperwork time
C. Free time
D. Extra profit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-B1-Q2
Entrepreneurship, Set 52: Owner time and capacity · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.PRICE.06 (local)

Learn
A bus has a fixed number of seats. Once they are full, no more people can ride that trip, no matter how many wait. An owner's week is like the bus: it has a fixed number of working hours. Each job takes some seats, including the "hidden" seats for travel and paperwork. When the hours are full, a bigger bus (help) or more trips (more hours) carry more riders. A pricier ticket (higher prices) adds no seats, but it changes who rides and earns more per seat.

A bigger bus is like what choice?

A. Doing nothing
B. Working more hours
C. Raising prices
D. Getting help

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-B1-Q3
Entrepreneurship, Set 52: Owner time and capacity · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.PRICE.06 (local)

Learn
A bus has a fixed number of seats. Once they are full, no more people can ride that trip, no matter how many wait. An owner's week is like the bus: it has a fixed number of working hours. Each job takes some seats, including the "hidden" seats for travel and paperwork. When the hours are full, a bigger bus (help) or more trips (more hours) carry more riders. A pricier ticket (higher prices) adds no seats, but it changes who rides and earns more per seat.

A pricier ticket is like what choice?

A. More trips
B. Lowering quality
C. Raising prices
D. Getting help

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-B1-Q4
Entrepreneurship, Set 52: Owner time and capacity · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.PRICE.06 (local)

Learn
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Can more riders fit once all seats are full?

A. No, not on that trip
B. Only on weekends
C. Yes, always
D. Only if they stand on the roof

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-B1-Q5
Entrepreneurship, Set 52: Owner time and capacity · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.PRICE.06 (local)

Learn

An owner's time is limited, so it has a cost. CAPACITY is the most work the business can do in a period. If an owner can work 30 hours a week on paid tasks, that is her capacity. To find an effective HOURLY RATE, divide profit from a job by the total hours it takes, including travel, emails, invoices and setup, not just the visible work. A price that looks high can become a low hourly rate. When capacity is full, serving more customers safely takes qualified help or a better process. Raising prices is a separate choice: it manages demand and earns more per job, but it does not add capacity.

Job A: 150 dollars profit, 3 hours total. Job B: 240 dollars profit, 6 hours total. Which pays more per hour?

A. B, at 40 dollars an hour

B. A, at 50 dollars an hour

C. They pay the same

D. B, at 240 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F1-Q1

Entrepreneurship, Set 52: Owner time and capacity · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PRICE.06 (local)

Learn
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A tutor can work 25 hours a week. Each student takes 1.5 hours including prep. What is the most students per week, rounded down?

A. 16 students
B. 37 students
C. 25 students
D. 17 students

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F1-Q2
Entrepreneurship, Set 52: Owner time and capacity · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PRICE.06 (local)

Learn
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A baker charges 60 dollars for a custom cake with 20 dollars of ingredients. It takes 5 hours. What is the hourly rate on profit?

A. 12 dollars an hour

B. 40 dollars an hour

C. 4 dollars an hour

D. 8 dollars an hour

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F1-Q3
Entrepreneurship, Set 52: Owner time and capacity · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PRICE.06 (local)

Learn
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A custom cake takes 5 hours and uses 20 dollars of ingredients. The baker wants at least 20 dollars an hour of profit on it. What price is needed?

A. 25 dollars
B. 120 dollars
C. 100 dollars
D. 80 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F1-Q4
Entrepreneurship, Set 52: Owner time and capacity · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PRICE.06 (local)

Learn

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A photographer is fully booked for 2 months. What does this suggest?

A. She should lower prices further

B. She should stop marketing forever

C. Prices may be too low for the demand

D. Nothing; bookings never matter

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F1-Q5

Entrepreneurship, Set 52: Owner time and capacity · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PRICE.06 (local)

Learn

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An owner works 70 hours a week to meet demand and feels exhausted. What is the main risk?

A. Customers will pay double automatically

B. Capacity grows by itself

C. More profit with no downside

D. Mistakes and burnout that hurt the business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F2-Q1

Entrepreneurship, Set 52: Owner time and capacity · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PRICE.06 (local)

Learn
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A job seems to pay 50 dollars an hour, but the client asks for many unpaid revisions, doubling the time. What is the real rate?

A. 75 dollars an hour
B. 25 dollars an hour
C. 100 dollars an hour
D. 50 dollars an hour

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F2-Q2
Entrepreneurship, Set 52: Owner time and capacity · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PRICE.06 (local)

Learn
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What helps prevent unpaid revisions?

A. Charging nothing at all for the first job with a client
B. Stating how many revisions the price includes
C. Offering unlimited free changes
D. Never talking about revisions

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F2-Q3
Entrepreneurship, Set 52: Owner time and capacity · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PRICE.06 (local)

Learn
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A helper costs 20 dollars an hour and lets the owner take jobs earning 45 dollars an hour of profit before paying help. Ignoring other costs, what is left per helper hour?

A. 65 dollars
B. 45 dollars
C. 25 dollars
D. 20 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F2-Q4
Entrepreneurship, Set 52: Owner time and capacity · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PRICE.06 (local)

Learn

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Which statement is accurate?

A. Owner time is a real cost even when no one sends a bill for it.

B. Capacity never limits small businesses, because owners can always work more.

C. Hidden tasks take no time.

D. Owner time is always free.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F2-Q5

Entrepreneurship, Set 52: Owner time and capacity · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PRICE.06 (local)

Set 53: Reviewing and raising prices

Outcome ENT.PRICE.07: Decide when a price needs review from stated costs, demand and capacity, and communicate a change

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Prices should be reviewed regularly, for example every 6 or 12 months, or when costs change. Signs a price may be too low: costs have risen, you are fully booked, or your hourly rate is below what you need. To raise prices well, give current customers notice, explain briefly (for example, higher material costs), and consider keeping old prices for a short time for loyal clients. Some customers may leave; check whether the remaining sales bring in more total contribution.

Which is a sign a price may be too low?

A. Customers sometimes compliment the product
B. The owner bought a new phone
C. The owner is fully booked months ahead
D. The logo was redesigned recently

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-M-Q1
Entrepreneurship, Set 53: Reviewing and raising prices · MAIN · Q1/5 · Outcome ENT.PRICE.07 (local)

Learn
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Supplies rise from 4 to 5 dollars per item and price stays 12 dollars. What is the new contribution?

A. 17 dollars
B. 1 dollar
C. 8 dollars
D. 7 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-M-Q2
Entrepreneurship, Set 53: Reviewing and raising prices · MAIN · Q2/5 · Outcome ENT.PRICE.07 (local)

Learn
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What is a respectful way to raise prices?

A. Give notice and a short reason
B. Raise prices every week
C. Blame customers for the change
D. Change prices without telling anyone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-M-Q3
Entrepreneurship, Set 53: Reviewing and raising prices · MAIN · Q3/5 · Outcome ENT.PRICE.07 (local)

Learn
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How often might a small business review prices?

A. Never, because prices are set permanently at opening
B. Every 6 or 12 months, or when costs change
C. Only once, on opening day
D. Every hour

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-M-Q4
Entrepreneurship, Set 53: Reviewing and raising prices · MAIN · Q4/5 · Outcome ENT.PRICE.07 (local)

Learn
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After a raise, some customers leave. What should the owner check?

A. Only competitors' logos
B. Only whether anyone complained about the new price
C. Only the number of customers
D. Whether total contribution went up or down

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-M-Q5
Entrepreneurship, Set 53: Reviewing and raising prices · MAIN · Q5/5 · Outcome ENT.PRICE.07 (local)

Learn
To raise a price by a percent, multiply by (1 + the decimal). A 10 percent raise is x 1.10; a 15 percent raise is x 1.15. Example: 40 dollars raised 15 percent is 40 x 1.15 = 46 dollars. To find the percent change between two prices, divide the change by the OLD price: from 40 to 46 is 6 / 40 = 0.15 = 15 percent.

What is 50 raised by 10 percent?

A. 5
B. 50.10
C. 55
D. 60

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-B1-Q1
Entrepreneurship, Set 53: Reviewing and raising prices · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PRICE.07 (local)

Learn
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From 20 to 25 dollars is what percent increase?

A. 25 percent
B. 5 percent
C. 125 percent
D. 20 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-B1-Q2
Entrepreneurship, Set 53: Reviewing and raising prices · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PRICE.07 (local)

Learn
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A 15 percent raise means multiply by what?

A. 0.15
B. 1.15
C. 15
D. 0.85

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-B1-Q3
Entrepreneurship, Set 53: Reviewing and raising prices · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PRICE.07 (local)

Learn
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What is 80 raised by 5 percent?

A. 85
B. 4
C. 80.05
D. 84

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-B1-Q4
Entrepreneurship, Set 53: Reviewing and raising prices · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PRICE.07 (local)

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To find a percent change, divide the change by which price?

A. The cost
B. The new price
C. The old price
D. Any price

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-B1-Q5
Entrepreneurship, Set 53: Reviewing and raising prices · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PRICE.07 (local)

Learn
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A dog groomer has 50 clients at 40 dollars with a 15-dollar cost each. She raises the price to 48 dollars and 5 clients leave. What is the new total contribution?

A. 1,485 dollars
B. 2,160 dollars
C. 1,650 dollars
D. 1,250 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F1-Q1
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PRICE.07 (local)

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A dog groomer had 50 clients at 40 dollars with a 15-dollar cost each. After she raised the price to 48 dollars, 45 clients stayed. Did the raise help?

A. No, because she lost 5 of her clients
B. Yes, contribution rose by 235 dollars
C. It made no difference
D. No, contribution fell

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F1-Q2
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PRICE.07 (local)

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Which notice is best?

A. "From March 1, prices rise to 48 dollars due to higher supply costs."
B. "Prices might change sometime, maybe."
C. "Prices are higher now. Deal with it."
D. No notice at all; she should just charge more at checkout from now on

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F1-Q3
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PRICE.07 (local)

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A 40-dollar price raised by 12.5 percent becomes what?

A. 52.50 dollars
B. 5 dollars
C. 45 dollars
D. 40.13 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F1-Q4
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PRICE.07 (local)

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A loyal client has booked monthly for 3 years. What is a thoughtful option during a raise?

A. Raise her price more than everyone else's price
B. Keep the old price for a short grace period
C. Hide the raise from her
D. Drop her as a client

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F1-Q5
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PRICE.07 (local)

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An owner fears that any raise will lose all customers. What evidence would help?

A. Assuming the worst and never changing
B. Asking only family
C. Testing a modest raise and tracking results
D. Copying a random competitor's price

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F2-Q1
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PRICE.07 (local)

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A competitor charges less. The owner's costs are higher because she uses better materials. What fits?

A. Ignore costs entirely
B. Explain the value and price to cover her costs
C. Match the competitor's lower price, even if she loses money
D. Use worse materials secretly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F2-Q2
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PRICE.07 (local)

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Prices rose 20 percent but sales fell 40 percent. Contribution per sale went from 10 to 14 dollars. Was it a gain? (Start with 100 sales.)

A. No, contribution fell from 1,000 to 840 dollars

B. No change at all

C. Yes, contribution rose from 1,000 to 1,400 dollars

D. Yes, from 1,000 to 1,200 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F2-Q3
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PRICE.07 (local)

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Costs rose 10 percent but the owner has not reviewed prices in 3 years. What should she do?

A. Cut quality quietly to avoid any price raise
B. Stop tracking costs
C. Wait another 3 years
D. Recalculate costs and review prices now

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F2-Q4
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PRICE.07 (local)

Learn
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Which statement is accurate?

A. Raises always double profit.
B. A price increase can raise total contribution even if some customers leave.
C. Losing any customer at all always means the business loses money overall.
D. Prices should never change.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F2-Q5
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PRICE.07 (local)

Set 54: Cash timing, unpaid invoices and deposits

Outcome ENT.CASH.02: Track when cash actually arrives and leaves, and use deposits

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Cash often arrives later than work is done. An INVOICE is a bill sent to a customer; "Net 30" means payment is due 30 days after the invoice date. Meanwhile, the business may have to pay for materials and its own bills. A DEPOSIT is money paid up front before work starts; it reduces risk and helps buy materials. Track unpaid invoices (accounts receivable), send reminders on the due date, and set clear terms in writing, such as a late fee if allowed where you operate.

What does "Net 30" mean?

A. The business must pay 30 dollars
B. A 30 percent discount for paying early
C. The customer may pay any time in the year
D. Payment is due 30 days after the invoice date

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-M-Q1
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · MAIN · Q1/5 · Outcome ENT.CASH.02 (local)

Learn
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What is a deposit?

A. Money paid up front before work starts
B. A refund paid after a customer complaint
C. A bonus paid to employees
D. A tax paid to the state

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-M-Q2
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · MAIN · Q2/5 · Outcome ENT.CASH.02 (local)

Learn
Cash often arrives later than work is done. An INVOICE is a bill sent to a customer; "Net 30" means payment is due 30 days after the invoice date. Meanwhile, the business may have to pay for materials and its own bills. A DEPOSIT is money paid up front before work starts; it reduces risk and helps buy materials. Track unpaid invoices (accounts receivable), send reminders on the due date, and set clear terms in writing, such as a late fee if allowed where you operate.

An invoice dated June 1 is Net 30. When is it due?

A. August 1
B. June 2
C. July 1
D. June 30 of next year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-M-Q3
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · MAIN · Q3/5 · Outcome ENT.CASH.02 (local)

Learn
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What are accounts receivable?

A. The value of equipment
B. Money customers owe the business
C. Cash in the owner's wallet
D. Money the business owes suppliers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-M-Q4
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · MAIN · Q4/5 · Outcome ENT.CASH.02 (local)

Learn
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Why ask for a deposit on a large custom order?

A. It reduces risk and helps pay for materials
B. It lowers the business's taxes
C. It replaces the need for an invoice
D. It guarantees the customer will love the order

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-M-Q5
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · MAIN · Q5/5 · Outcome ENT.CASH.02 (local)

Learn
Imagine doing chores all month but receiving your allowance only at the end of the next month. Meanwhile, you still need money for lunch. Businesses face the same gap: they do the work, send an invoice, and wait for payment while bills keep coming. A deposit is like getting part of the allowance before you start the chores.

Doing chores before being paid is like what?

A. Paying taxes
B. Getting a deposit up front from the customer
C. Working before an invoice is paid
D. Buying supplies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-B1-Q1
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASH.02 (local)

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Needing lunch money while waiting is like what?

A. A discount code for next time
B. Bills due before payment arrives
C. A refund
D. Extra profit for the whole month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-B1-Q2
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASH.02 (local)

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Getting part of the allowance first is like what?

A. An invoice
B. A refund
C. A deposit
D. A fee

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-B1-Q3
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASH.02 (local)

Learn
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What makes the waiting harder?

A. Longer payment terms
B. Shorter payment terms
C. Deposits
D. Reminders

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-B1-Q4
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASH.02 (local)

Learn
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What helps close the gap?

A. Offering longer terms
B. Never sending reminders
C. Waiting longer to invoice
D. Deposits and prompt invoicing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-B1-Q5
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASH.02 (local)

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A designer finishes a 2,000-dollar project and invoices Net 30. Her rent of 900 dollars is due in 10 days. She has 500 dollars. What is the problem?

A. She is 400 dollars short for rent before the invoice is due

B. Rent is not her concern

C. She has plenty of cash right now to cover the rent easily

D. The invoice is already overdue

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F1-Q1
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASH.02 (local)

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Which change would help her most on future projects?

A. Stop sending invoices
B. Offer Net 90 payment terms to all clients
C. Invoice only after 2 months
D. Ask for a 50 percent deposit at the start

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F1-Q2
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASH.02 (local)

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A 50 percent deposit on a 2,000-dollar project is how much?

A. 500 dollars
B. 1,000 dollars
C. 1,500 dollars
D. 2,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F1-Q3
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASH.02 (local)

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An invoice was due 15 days ago and is unpaid. What is a sensible first step?

A. Start a lawsuit today
B. Send a polite reminder with the invoice attached
C. Ignore it forever
D. Post the client's name online as a late payer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F1-Q4
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASH.02 (local)

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A business has receivables of 6,000 dollars, of which 1,500 dollars is over 60 days late. What fraction is very late?

A. 1/2
B. 1/6
C. 1/4
D. 3/4

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F1-Q5
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASH.02 (local)

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A large client insists on Net 60 terms. The order is 10,000 dollars of materials and labor. What should the owner check?

A. Whether the logo will be on the client's site

B. Nothing; big clients always pay early

C. Whether she has cash to cover costs for 60 days

D. Only whether the client is famous

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F2-Q1
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASH.02 (local)

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A client has missed three payment dates. What protects the business on future work?

A. Do more work on credit
B. Require payment or a deposit before starting
C. Remove invoices
D. Offer even longer payment terms to be kind

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F2-Q2
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASH.02 (local)

Learn
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A contract allows a 1.5 percent monthly late fee where permitted. A 2,000-dollar invoice is one month late. What is the fee?

A. 30 dollars

B. 300 dollars

C. 1.50 dollars

D. 3 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F2-Q3
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASH.02 (local)

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Before adding late fees, what should an owner check?

A. Only whether competitors in her area use late fees
B. Nothing; any fee is allowed
C. Only the invoice font
D. Whether local law allows them and the contract states them

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F2-Q4
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASH.02 (local)

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Which statement is accurate?

A. Clear written terms and early reminders reduce late payments.
B. Customers always pay on time without any reminders or written terms.
C. Deposits are illegal.
D. Invoices are optional for businesses.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F2-Q5
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASH.02 (local)

Set 55: A simple cash reserve

Outcome ENT.CASH.03: Size a simple cash reserve from stated monthly costs

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn

A CASH RESERVE (emergency fund) is money the business keeps aside for slow months, repairs or late payments. A common planning approach is to save enough to cover a set number of months of essential expenses, such as 2 to 3 months; this is a planning assumption, not a rule. Build it gradually, for example by moving a percentage of each sale into a separate savings account. Use it for planned shortfalls such as slow months and for unexpected needs, then refill it. Without a reserve, one surprise can force expensive borrowing.

What is a cash reserve?

A. Money set aside for slow months and surprises

B. Money owed to suppliers

C. Money used for the owner's vacation

D. Money spent on advertising and promotions each month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-M-Q1

Entrepreneurship, Set 55: A simple cash reserve · MAIN · Q1/5 · Outcome ENT.CASH.03 (local)

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Essential expenses are 1,500 dollars a month. What is a 3-month reserve?

A. 1,500 dollars

B. 500 dollars

C. 4,500 dollars

D. 3,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-M-Q2

Entrepreneurship, Set 55: A simple cash reserve · MAIN · Q2/5 · Outcome ENT.CASH.03 (local)

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How can a reserve be built gradually?

A. Wait until a big emergency happens, then start saving
B. Move a percentage of each sale into savings
C. Spend everything and hope
D. Borrow the full amount at once

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-M-Q3
Entrepreneurship, Set 55: A simple cash reserve · MAIN · Q3/5 · Outcome ENT.CASH.03 (local)

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When should the reserve be used?

A. Never, not even in a real emergency
B. Only to pay the owner a yearly bonus
C. For slow months and surprises, then refilled
D. For any purchase the owner happens to want

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-M-Q4
Entrepreneurship, Set 55: A simple cash reserve · MAIN · Q4/5 · Outcome ENT.CASH.03 (local)

Learn
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What can happen without a reserve?

A. Nothing ever goes wrong for the business
B. Taxes disappear
C. Profits always double
D. A surprise may force expensive borrowing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-M-Q5
Entrepreneurship, Set 55: A simple cash reserve · MAIN · Q5/5 · Outcome ENT.CASH.03 (local)

Learn
To see how long a savings goal takes, find how much you save each period, then divide the goal by that amount. Example: save 10 percent of 2,000 dollars of monthly sales = 200 dollars a month. A 1,200-dollar goal takes 1,200 / 200 = 6 months. If the answer is not whole, round up to the next full month.

10 percent of 3,000 dollars is what?

A. 300 dollars
B. 30 dollars
C. 2,700 dollars
D. 3,300 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-B1-Q1
Entrepreneurship, Set 55: A simple cash reserve · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.CASH.03 (local)

Learn
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Saving 250 dollars a month, how long to reach 1,000 dollars?

A. 3 months
B. 250 months
C. 40 months
D. 4 months

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-B1-Q2
Entrepreneurship, Set 55: A simple cash reserve · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.CASH.03 (local)

Learn
To see how long a savings goal takes, find how much you save each period, then divide the goal by that amount. Example: save 10 percent of 2,000 dollars of monthly sales = 200 dollars a month. A 1,200-dollar goal takes 1,200 / 200 = 6 months. If the answer is not whole, round up to the next full month.

Saving 300 dollars a month, how long to reach 1,000 dollars, rounded up?

A. 4 months
B. 5 months
C. 3 months
D. 3.3 months

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-B1-Q3
Entrepreneurship, Set 55: A simple cash reserve · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.CASH.03 (local)

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5 percent of 4,000 dollars is what?

A. 800 dollars
B. 20 dollars
C. 200 dollars
D. 4,005 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-B1-Q4
Entrepreneurship, Set 55: A simple cash reserve · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.CASH.03 (local)

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Why round up the number of months?

A. A partial month does not reach the goal

B. Months cannot be counted

C. Rounding down is always better for savings goals

D. It does not matter

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-B1-Q5
Entrepreneurship, Set 55: A simple cash reserve · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.CASH.03 (local)

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A shop's essential costs are 2,000 dollars a month. It wants a 2-month reserve and saves 8 percent of 5,000 dollars of monthly sales. How many months to reach the goal?

A. 8 months
B. 25 months
C. 5 months
D. 10 months

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F1-Q1
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASH.03 (local)

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Which account fits a reserve best?

A. A friend's account
B. A separate business savings account
C. The owner's personal checking account
D. A shoebox under the counter

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F1-Q2
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASH.03 (local)

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The reserve target is 3,000 dollars. An oven repair uses 1,200 dollars of it. How much must be added to bring the reserve back to its target?

A. 3,000 dollars
B. 4,200 dollars
C. 1,200 dollars
D. 1,800 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F1-Q3
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASH.03 (local)

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A seasonal ice cream stand earns most money in summer. What does that suggest for its reserve?

A. Save more in summer to cover winter
B. Borrow every winter as a plan
C. Spend all summer income right away
D. Ignore winter costs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F1-Q4
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASH.03 (local)

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An owner uses the reserve to buy a new logo design. What is the problem?

A. Reserves must never be used
B. Logos are illegal
C. There is no problem
D. It is not an emergency

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F1-Q5
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASH.03 (local)

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An owner can either pay down a high-interest credit card or build a reserve. What is a balanced approach?

A. Take on more debt
B. Ignore both
C. Spend on extras first and decide about debt later
D. Build a small starter reserve, then focus on the debt

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F2-Q1
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASH.03 (local)

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Sales drop 30 percent for 2 months. Essential costs stay 2,000 dollars and income falls to 1,400 dollars. How much reserve is used over both months?

A. 600 dollars
B. 1,200 dollars
C. 2,800 dollars
D. 4,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F2-Q2
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASH.03 (local)

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A CASH RESERVE (emergency fund) is money the business keeps aside for slow months, repairs or late payments. A common planning approach is to save enough to cover a set number of months of essential expenses, such as 2 to 3 months; this is a planning assumption, not a rule. Build it gradually, for example by moving a percentage of each sale into a separate savings account. Use it for planned shortfalls such as slow months and for unexpected needs, then refill it. Without a reserve, one surprise can force expensive borrowing.

A business has a 6-month reserve but keeps adding to it while equipment is failing. What should it consider?

A. Never touching the reserve, even for needed equipment
B. Closing the business
C. Whether part of the reserve should fund needed equipment
D. Selling the equipment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F2-Q3
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASH.03 (local)

Learn
A CASH RESERVE (emergency fund) is money the business keeps aside for slow months, repairs or late payments. A common planning approach is to save enough to cover a set number of months of essential expenses, such as 2 to 3 months; this is a planning assumption, not a rule. Build it gradually, for example by moving a percentage of each sale into a separate savings account. Use it for planned shortfalls such as slow months and for unexpected needs, then refill it. Without a reserve, one surprise can force expensive borrowing.

A reserve sits in an account the owner also uses for daily spending. What is the risk?

A. It gets spent without noticing
B. It becomes taxable twice each year
C. Nothing at all
D. It grows faster

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F2-Q4
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASH.03 (local)

Learn
A CASH RESERVE (emergency fund) is money the business keeps aside for slow months, repairs or late payments. A common planning approach is to save enough to cover a set number of months of essential expenses, such as 2 to 3 months; this is a planning assumption, not a rule. Build it gradually, for example by moving a percentage of each sale into a separate savings account. Use it for planned shortfalls such as slow months and for unexpected needs, then refill it. Without a reserve, one surprise can force expensive borrowing.

Which statement is accurate?

A. A reserve replaces insurance.

B. Every business needs exactly 3 months of expenses saved, no matter its risks or seasons.

C. Reserves are only for big companies.

D. The right reserve size depends on the business; months of expenses is a planning guide.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F2-Q5
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASH.03 (local)

Set 56: Founder case: HP's first product and first big customer

Outcome ENT.CASE.05: Apply a documented early decision (a customer asking for changes and placing an order) to a new business

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

According to the passage, how much working capital did they start with?

A. 538 dollars
B. No money at all
C. 5,380 dollars
D. 53,800 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-M-Q1
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · MAIN · Q1/5 · Outcome ENT.CASE.05 (local)

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

What was their first product?

A. A printer for offices
B. An audio oscillator for testing sound equipment
C. A home computer for families and schools
D. A film camera for studios

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-M-Q2
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · MAIN · Q2/5 · Outcome ENT.CASE.05 (local)

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

What did Walt Disney Studios do?

A. Designed the product for HP
B. Refused to buy any product
C. Bought the whole company outright in its first year
D. Asked for changes and ordered eight of the modified model

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-M-Q3
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · MAIN · Q3/5 · Outcome ENT.CASE.05 (local)

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

Which lesson does this course draw?

A. Only sell to the general public
B. Never change a product, even for a serious customer
C. Solve a specific need and adapt to a serious customer
D. Always start with a large investment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-M-Q4
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · MAIN · Q4/5 · Outcome ENT.CASE.05 (local)

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

Which statement about the HP case is accurate?

A. It shows a big customer is never risky.
B. It proves every business started in a garage will succeed.
C. It shows capital never matters.
D. It shows one start, not a promise for every garage business.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-M-Q5
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · MAIN · Q5/5 · Outcome ENT.CASE.05 (local)

Learn
A case passage has two parts. The documented history is what records show: an amount of money, a first product, a customer order. The lesson drawn is this course's interpretation: an idea you might apply. Keep them separate. A later reputation does not prove each early step caused the success; it only shows what happened in that one case.

"They started with 538 dollars" is which part?

A. A rumor with no source
B. The lesson drawn
C. Documented history
D. A guarantee

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-B1-Q1
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.05 (local)

Learn
A case passage has two parts. The documented history is what records show: an amount of money, a first product, a customer order. The lesson drawn is this course's interpretation: an idea you might apply. Keep them separate. A later reputation does not prove each early step caused the success; it only shows what happened in that one case.

"Adapt to a serious customer's request" is which part?

A. A legal rule for all businesses
B. Documented history from HP
C. A tax fact
D. The lesson drawn by the course

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-B1-Q2
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.05 (local)

Learn
A case passage has two parts. The documented history is what records show: an amount of money, a first product, a customer order. The lesson drawn is this course's interpretation: an idea you might apply. Keep them separate. A later reputation does not prove each early step caused the success; it only shows what happened in that one case.

Does later fame prove each early step caused success?

A. Only for HP
B. Only in California
C. Yes, always
D. No

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-B1-Q3
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.05 (local)

Learn
A case passage has two parts. The documented history is what records show: an amount of money, a first product, a customer order. The lesson drawn is this course's interpretation: an idea you might apply. Keep them separate. A later reputation does not prove each early step caused the success; it only shows what happened in that one case.

Why keep facts and lessons separate?

A. So you know what is recorded and what is opinion
B. Because facts never matter
C. Because lessons drawn from cases are always wrong
D. To confuse readers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-B1-Q4
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.05 (local)

Learn
A case passage has two parts. The documented history is what records show: an amount of money, a first product, a customer order. The lesson drawn is this course's interpretation: an idea you might apply. Keep them separate. A later reputation does not prove each early step caused the success; it only shows what happened in that one case.

"Disney ordered eight units" is which part?

A. The lesson drawn
B. Documented history
C. A guess with no record
D. A promise

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-B1-Q5
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASE.05 (local)

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

Lena makes a sound-testing app for audio studios. A large studio asks for two specific features and offers to buy 10 licenses. Applying the lesson, what fits?

A. Promise any feature without checking cost
B. Refuse the order, because a product must never change after launch
C. Ignore the studio and target everyone
D. Check the cost of the changes and consider adapting for the order

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F1-Q1
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.05 (local)

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

Raj has 600 dollars to start. Which first step best follows the lesson?

A. Rent a large factory first
B. Wait until he has saved 100,000 dollars before starting
C. Build a simple tool for one specific professional need
D. Design ten products for everyone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F1-Q2
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASE.05 (local)

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

A customer asks for changes that would cost 2,000 dollars, and offers an order worth 1,500 dollars of contribution. What does the math suggest?

A. The order alone does not cover the change
B. It is clearly profitable
C. Costs do not matter
D. Accept the order and ignore the cost of changes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F1-Q3
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASE.05 (local)

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Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

A customer's requested changes would cost 2,000 dollars, and that customer's order brings 1,500 dollars of contribution. What could make the change worthwhile?

A. Never telling anyone

B. A nicer logo

C. Other customers also wanting the improved version

D. Lowering the price of the studio's order further

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F1-Q4
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASE.05 (local)

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

Which detail is documented in the HP case and which is the course's lesson?

A. The lesson is documented by HP; the eight-unit order is only a guess
B. Both are guesses with no source
C. Both are documented quotes from the founders
D. Eight units ordered is documented; "adapt for a key customer" is the lesson

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F1-Q5
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.05 (local)

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

A small maker gets 80 percent of its sales from one customer. What is the main risk?

A. Taxes will double
B. Losing that customer would cut most sales
C. No risk at all, since one customer is simpler to serve
D. Costs disappear

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F2-Q1
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.05 (local)

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

A big customer asks for a custom version at a discount. What should the owner check?

A. Whether the price still covers costs and time
B. Nothing; big orders are always good
C. Only whether the customer is famous in the industry
D. Only the logo placement

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F2-Q2
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASE.05 (local)

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

After adapting for one studio, the owner hopes others will buy. What should she do next?

A. Assume all studios will buy
B. Raise prices tenfold
C. Test whether other customers want the new version
D. Stop selling the old version immediately to every customer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F2-Q3
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASE.05 (local)

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

Someone says, "HP started in a garage, so I need a garage to succeed." What is wrong?

A. HP never used a garage
B. Nothing; garages guarantee success
C. The location is a detail, not the cause
D. Garages are illegal for businesses

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F2-Q4
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASE.05 (local)

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

Which statement is accurate?

A. The case shows one path; other businesses face different conditions.
B. Every business should copy HP exactly.
C. Big customers never cause problems.
D. Starting with small capital guarantees that a business will succeed.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F2-Q5
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.05 (local)

Set 57: Why bookkeeping and receipts matter

Outcome ENT.BOOK.01: Explain what bookkeeping is for and keep usable receipts

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
BOOKKEEPING is recording every money event in the business: sales, expenses, owner transfers and loans. Each record should show the date, amount, who it was with, and what it was for. A RECEIPT or invoice is the proof. Good records let you see whether you are making money, prepare taxes, answer questions from a tax agency, apply for loans, and catch mistakes or theft. Record transactions soon after they happen; trying to rebuild a year of records from memory is slow and unreliable.

What is bookkeeping?

A. Choosing which products to put on sale each week
B. Designing the shelves where the business keeps its books
C. Writing a business plan for investors once a year
D. Recording every money event in the business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-M-Q1
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · MAIN · Q1/5 · Outcome ENT.BOOK.01 (local)

Learn
BOOKKEEPING is recording every money event in the business: sales, expenses, owner transfers and loans. Each record should show the date, amount, who it was with, and what it was for. A RECEIPT or invoice is the proof. Good records let you see whether you are making money, prepare taxes, answer questions from a tax agency, apply for loans, and catch mistakes or theft. Record transactions soon after they happen; trying to rebuild a year of records from memory is slow and unreliable.

Which detail belongs on every record?

A. The date, amount, other party and purpose
B. The weather and the owner's mood on that day
C. Only the amount, rounded to the nearest hundred
D. Only the customer's favorite product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-M-Q2
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · MAIN · Q2/5 · Outcome ENT.BOOK.01 (local)

Learn
BOOKKEEPING is recording every money event in the business: sales, expenses, owner transfers and loans. Each record should show the date, amount, who it was with, and what it was for. A RECEIPT or invoice is the proof. Good records let you see whether you are making money, prepare taxes, answer questions from a tax agency, apply for loans, and catch mistakes or theft. Record transactions soon after they happen; trying to rebuild a year of records from memory is slow and unreliable.

What does a receipt do?

A. Shows how many followers the business has online
B. Proves a transaction happened
C. Replaces the need to record the transaction at all
D. Guarantees the expense will be tax deductible

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-M-Q3
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · MAIN · Q3/5 · Outcome ENT.BOOK.01 (local)

Learn
BOOKKEEPING is recording every money event in the business: sales, expenses, owner transfers and loans. Each record should show the date, amount, who it was with, and what it was for. A RECEIPT or invoice is the proof. Good records let you see whether you are making money, prepare taxes, answer questions from a tax agency, apply for loans, and catch mistakes or theft. Record transactions soon after they happen; trying to rebuild a year of records from memory is slow and unreliable.

Which is a reason to keep good records?

A. To make the office look more organized to visitors
B. Because records automatically lower all prices
C. To see whether the business makes money
D. Because records replace the need for a bank account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-M-Q4
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · MAIN · Q4/5 · Outcome ENT.BOOK.01 (local)

Learn
BOOKKEEPING is recording every money event in the business: sales, expenses, owner transfers and loans. Each record should show the date, amount, who it was with, and what it was for. A RECEIPT or invoice is the proof. Good records let you see whether you are making money, prepare taxes, answer questions from a tax agency, apply for loans, and catch mistakes or theft. Record transactions soon after they happen; trying to rebuild a year of records from memory is slow and unreliable.

When is the best time to record a transaction?

A. Soon after it happens
B. Never, if the amount is under 100 dollars
C. Once a year, from memory, just before taxes are due
D. Only when a tax agency asks a question about it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-M-Q5
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · MAIN · Q5/5 · Outcome ENT.BOOK.01 (local)

Learn
Bookkeeping is like keeping a diary, but only about money. Each entry says when, how much, with whom, and why: "May 3, paid 42 dollars to Paper Plus for boxes." A receipt is like a photo that proves the diary entry is true. If you skip the diary for months, you will not remember what each payment was for, and nobody can check your story.

Bookkeeping is like a diary about what?

A. Weather
B. Money
C. Favorite songs
D. Sports scores

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-B1-Q1
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BOOK.01 (local)

Learn
Bookkeeping is like keeping a diary, but only about money. Each entry says when, how much, with whom, and why: "May 3, paid 42 dollars to Paper Plus for boxes." A receipt is like a photo that proves the diary entry is true. If you skip the diary for months, you will not remember what each payment was for, and nobody can check your story.

A receipt is like what in the diary picture?

A. A torn page
B. A blank page in the diary
C. A pen
D. A photo that proves the entry

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-B1-Q2
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BOOK.01 (local)

Learn
Bookkeeping is like keeping a diary, but only about money. Each entry says when, how much, with whom, and why: "May 3, paid 42 dollars to Paper Plus for boxes." A receipt is like a photo that proves the diary entry is true. If you skip the diary for months, you will not remember what each payment was for, and nobody can check your story.

Which is a complete entry?

A. "Boxes"
B. "May 3, paid 42 dollars to Paper Plus for boxes"
C. "Spent some money at a store this week on things"
D. "42"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-B1-Q3
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.BOOK.01 (local)

Learn
Bookkeeping is like keeping a diary, but only about money. Each entry says when, how much, with whom, and why: "May 3, paid 42 dollars to Paper Plus for boxes." A receipt is like a photo that proves the diary entry is true. If you skip the diary for months, you will not remember what each payment was for, and nobody can check your story.

What happens if the diary is skipped for months?

A. Nothing changes at all
B. Taxes disappear
C. You forget what payments were for
D. Your money doubles by itself

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-B1-Q4
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BOOK.01 (local)

Learn
Bookkeeping is like keeping a diary, but only about money. Each entry says when, how much, with whom, and why: "May 3, paid 42 dollars to Paper Plus for boxes." A receipt is like a photo that proves the diary entry is true. If you skip the diary for months, you will not remember what each payment was for, and nobody can check your story.

Why can someone else check a diary with photos?

A. Photos hide mistakes
B. Photos are pretty
C. The photos are proof
D. Photos replace numbers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-B1-Q5
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.BOOK.01 (local)

Learn
BOOKKEEPING is recording every money event in the business: sales, expenses, owner transfers and loans. Each record should show the date, amount, who it was with, and what it was for. A RECEIPT or invoice is the proof. Good records let you see whether you are making money, prepare taxes, answer questions from a tax agency, apply for loans, and catch mistakes or theft. Record transactions soon after they happen; trying to rebuild a year of records from memory is slow and unreliable.

Sam writes "supplies 85" on a sticky note with no date or store. What should he add?

A. The date, store and what was bought
B. Nothing, because the amount is enough by itself
C. A smiley face to show it was a good purchase
D. The total of all his personal spending this month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F1-Q1
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.BOOK.01 (local)

Learn
BOOKKEEPING is recording every money event in the business: sales, expenses, owner transfers and loans. Each record should show the date, amount, who it was with, and what it was for. A RECEIPT or invoice is the proof. Good records let you see whether you are making money, prepare taxes, answer questions from a tax agency, apply for loans, and catch mistakes or theft. Record transactions soon after they happen; trying to rebuild a year of records from memory is slow and unreliable.

A seller keeps receipts in a shoebox but records nothing for a year. What is the main problem?

A. Receipts expire after one month and become invalid
B. Shoeboxes are illegal for storing receipts
C. Rebuilding the records will be slow and error-prone
D. There is no problem as long as the receipts exist

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F1-Q2
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BOOK.01 (local)

Learn
BOOKKEEPING is recording every money event in the business: sales, expenses, owner transfers and loans. Each record should show the date, amount, who it was with, and what it was for. A RECEIPT or invoice is the proof. Good records let you see whether you are making money, prepare taxes, answer questions from a tax agency, apply for loans, and catch mistakes or theft. Record transactions soon after they happen; trying to rebuild a year of records from memory is slow and unreliable.

Monthly records show sales of 3,400 dollars and expenses of 3,650 dollars. What do they reveal?

A. A profit of 7,050 dollars for the month

B. A loss of 250 dollars

C. Nothing useful about the business at all

D. A profit of 250 dollars for the month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F1-Q3
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.BOOK.01 (local)

Learn
BOOKKEEPING is recording every money event in the business: sales, expenses, owner transfers and loans. Each record should show the date, amount, who it was with, and what it was for. A RECEIPT or invoice is the proof. Good records let you see whether you are making money, prepare taxes, answer questions from a tax agency, apply for loans, and catch mistakes or theft. Record transactions soon after they happen; trying to rebuild a year of records from memory is slow and unreliable.

Which habit makes receipts easier to keep?

A. Photographing each receipt the day you get it
B. Throwing receipts away once the item is used up
C. Asking stores never to give receipts at all
D. Keeping receipts only for purchases over 1,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F1-Q4
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.BOOK.01 (local)

Learn
BOOKKEEPING is recording every money event in the business: sales, expenses, owner transfers and loans. Each record should show the date, amount, who it was with, and what it was for. A RECEIPT or invoice is the proof. Good records let you see whether you are making money, prepare taxes, answer questions from a tax agency, apply for loans, and catch mistakes or theft. Record transactions soon after they happen; trying to rebuild a year of records from memory is slow and unreliable.

A lender asks for a year of income records. Which owner is ready?

A. One with only a bank card and no statements
B. One who remembers roughly what she earned last year
C. One who kept records only for the first month
D. One with monthly records and receipts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F1-Q5
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BOOK.01 (local)

Learn
BOOKKEEPING is recording every money event in the business: sales, expenses, owner transfers and loans. Each record should show the date, amount, who it was with, and what it was for. A RECEIPT or invoice is the proof. Good records let you see whether you are making money, prepare taxes, answer questions from a tax agency, apply for loans, and catch mistakes or theft. Record transactions soon after they happen; trying to rebuild a year of records from memory is slow and unreliable.

A receipt for a 60-dollar business purchase is lost. What is a sensible step?

A. Use the bank or card statement and note what it was for
B. Delete the purchase from the records entirely
C. Make up a new receipt that looks like the old one
D. Record it as twice the amount to be safe

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F2-Q1
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BOOK.01 (local)

Learn
BOOKKEEPING is recording every money event in the business: sales, expenses, owner transfers and loans. Each record should show the date, amount, who it was with, and what it was for. A RECEIPT or invoice is the proof. Good records let you see whether you are making money, prepare taxes, answer questions from a tax agency, apply for loans, and catch mistakes or theft. Record transactions soon after they happen; trying to rebuild a year of records from memory is slow and unreliable.

An owner finds cash sales missing from records because they were never written down. What fix helps most?

A. Only record card sales from now on
B. Guess the total of cash sales at the end of each year
C. Stop accepting cash from any customers
D. Record every cash sale at the time with a simple log

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F2-Q2
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BOOK.01 (local)

Learn
BOOKKEEPING is recording every money event in the business: sales, expenses, owner transfers and loans. Each record should show the date, amount, who it was with, and what it was for. A RECEIPT or invoice is the proof. Good records let you see whether you are making money, prepare taxes, answer questions from a tax agency, apply for loans, and catch mistakes or theft. Record transactions soon after they happen; trying to rebuild a year of records from memory is slow and unreliable.

Records show 12 payments to an unknown vendor. What might that reveal?

A. Nothing; unknown vendors are always fine to ignore
B. That the bank account should be closed today
C. An error or possible fraud to investigate
D. A guaranteed tax refund for the business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F2-Q3
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.BOOK.01 (local)

Learn
BOOKKEEPING is recording every money event in the business: sales, expenses, owner transfers and loans. Each record should show the date, amount, who it was with, and what it was for. A RECEIPT or invoice is the proof. Good records let you see whether you are making money, prepare taxes, answer questions from a tax agency, apply for loans, and catch mistakes or theft. Record transactions soon after they happen; trying to rebuild a year of records from memory is slow and unreliable.

A tax agency asks about a deduction from two years ago. What helps the owner answer?

A. A memory of roughly how much she spent
B. Kept receipts and records for that year
C. A new receipt printed today for that year
D. A screenshot of a competitor's website

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F2-Q4
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BOOK.01 (local)

Learn
BOOKKEEPING is recording every money event in the business: sales, expenses, owner transfers and loans. Each record should show the date, amount, who it was with, and what it was for. A RECEIPT or invoice is the proof. Good records let you see whether you are making money, prepare taxes, answer questions from a tax agency, apply for loans, and catch mistakes or theft. Record transactions soon after they happen; trying to rebuild a year of records from memory is slow and unreliable.

Which statement is accurate?

A. Receipts are only useful on the day of purchase.
B. Records are only needed by large companies with staff.
C. Bookkeeping means only counting cash once a year.
D. Good records are proof; memory alone is not.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F2-Q5
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BOOK.01 (local)

Set 58: Categorizing and a simple ledger

Outcome ENT.BOOK.02: Record transactions in a simple ledger with sensible categories

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

What is a ledger?

A. A bank's yearly report on interest rates
B. A list of every transaction with columns
C. A promotional flyer that lists product prices
D. A legal agreement among the owners of an LLC

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-M-Q1
Entrepreneurship, Set 58: Categorizing and a simple ledger · MAIN · Q1/5 · Outcome ENT.BOOK.02 (local)

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

Which category fits "paid 35 dollars for postage on orders"?

A. Rent for the workspace
B. Owner draws taken for personal use
C. Shipping
D. Sales from customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-M-Q2
Entrepreneurship, Set 58: Categorizing and a simple ledger · MAIN · Q2/5 · Outcome ENT.BOOK.02 (local)

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

Start 500, a sale of 200, supplies of 80. What is the balance?

A. 620
B. 780
C. 380
D. 220

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-M-Q3
Entrepreneurship, Set 58: Categorizing and a simple ledger · MAIN · Q3/5 · Outcome ENT.BOOK.02 (local)

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

Why use consistent categories?

A. To make the ledger look longer and more impressive
B. Because each transaction needs a brand-new category
C. To avoid writing the amount of each transaction
D. To total each type and spot trends

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-M-Q4
Entrepreneurship, Set 58: Categorizing and a simple ledger · MAIN · Q4/5 · Outcome ENT.BOOK.02 (local)

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

Which tool can hold a simple ledger?

A. A spreadsheet
B. A product photo
C. A paper coffee cup
D. A billboard

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-M-Q5
Entrepreneurship, Set 58: Categorizing and a simple ledger · MAIN · Q5/5 · Outcome ENT.BOOK.02 (local)

Learn
A running balance adds money in and subtracts money out, one line at a time. Start with the opening amount. For each line: if money comes in, add; if money goes out, subtract. Example: start 300; +150 = 450; -60 = 390; -40 = 350. Check: opening + total in - total out = 300 + 150 - 100 = 350. Both ways should agree.

Start 200, then +50. What is the balance?

A. 150
B. 250
C. 200
D. 50

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-B1-Q1
Entrepreneurship, Set 58: Categorizing and a simple ledger · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.BOOK.02 (local)

Learn
A running balance adds money in and subtracts money out, one line at a time. Start with the opening amount. For each line: if money comes in, add; if money goes out, subtract. Example: start 300; +150 = 450; -60 = 390; -40 = 350. Check: opening + total in - total out = 300 + 150 - 100 = 350. Both ways should agree.

Start 250, then -70. What is the balance?

A. 170
B. 70
C. 180
D. 320

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-B1-Q2
Entrepreneurship, Set 58: Categorizing and a simple ledger · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.BOOK.02 (local)

Learn
A running balance adds money in and subtracts money out, one line at a time. Start with the opening amount. For each line: if money comes in, add; if money goes out, subtract. Example: start 300; +150 = 450; -60 = 390; -40 = 350. Check: opening + total in - total out = 300 + 150 - 100 = 350. Both ways should agree.

Start 100; +40; -25; +10. What is the balance?

A. 175
B. 125
C. 115
D. 75

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-B1-Q3
Entrepreneurship, Set 58: Categorizing and a simple ledger · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.BOOK.02 (local)

Learn
A running balance adds money in and subtracts money out, one line at a time. Start with the opening amount. For each line: if money comes in, add; if money goes out, subtract. Example: start 300; +150 = 450; -60 = 390; -40 = 350. Check: opening + total in - total out = 300 + 150 - 100 = 350. Both ways should agree.

Opening 400, total in 300, total out 250. What is the closing balance?

A. 950
B. 350
C. 50
D. 450

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-B1-Q4
Entrepreneurship, Set 58: Categorizing and a simple ledger · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.BOOK.02 (local)

Learn
A running balance adds money in and subtracts money out, one line at a time. Start with the opening amount. For each line: if money comes in, add; if money goes out, subtract. Example: start 300; +150 = 450; -60 = 390; -40 = 350. Check: opening + total in - total out = 300 + 150 - 100 = 350. Both ways should agree.

Money spent on supplies is added or subtracted?

A. Added
B. Ignored completely
C. Subtracted
D. Doubled

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-B1-Q5
Entrepreneurship, Set 58: Categorizing and a simple ledger · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.BOOK.02 (local)

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

A week: sales 120, 90, 150; supplies 45; shipping 30. What is the total of sales?

A. 360
B. 435
C. 270
D. 285

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F1-Q1
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.BOOK.02 (local)

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

A week: sales 120, 90 and 150; supplies 45; shipping 30. What is sales minus supplies and shipping?

A. 435
B. 75
C. 285
D. 360

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F1-Q2
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BOOK.02 (local)

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

Which entry is categorized well?

A. "Stuff | 25" with no date or category given
B. "Something online, maybe 25, maybe 30"
C. "Jun 4 | Ad | Sales | in 25" for money paid out
D. "Jun 4 | Ad on local site | Advertising | out 25"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F1-Q3
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.BOOK.02 (local)

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

Shipping was 80 dollars in March and 140 dollars in April with the same sales. What does the category total reveal?

A. Shipping costs rose and should be checked

B. Sales doubled in April

C. Nothing; categories never reveal trends

D. Rent was paid twice

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F1-Q4
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.BOOK.02 (local)

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

A payment to the owner's personal account is categorized as "supplies." What is wrong?

A. It should be deleted from the ledger
B. It should be categorized as an owner draw
C. It should be categorized as sales revenue
D. Nothing, because all money out is supplies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F1-Q5
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BOOK.02 (local)

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

One store receipt has 60 dollars of business supplies and 20 dollars of personal snacks paid on the business card. How should it be recorded?

A. Supplies 80, since it was one receipt
B. Sales 80, since the card was used
C. Ignore it, since it was a mixed purchase
D. Supplies 60 and an owner draw of 20

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F2-Q1
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BOOK.02 (local)

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

An owner changes category names every month. What problem results?

A. Totals cannot be compared from month to month
B. The ledger becomes more accurate each month
C. Nothing; names never matter
D. Taxes are automatically reduced

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F2-Q2
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BOOK.02 (local)

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

The ledger balance is 1,240 but the bank shows 1,190, and a 50-dollar fee is missing from the ledger. What should happen?

A. Change the bank balance to match the ledger

B. Delete a sale worth 50 dollars

C. Add the 50-dollar fee to the ledger

D. Ignore the 50-dollar difference forever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F2-Q3
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.BOOK.02 (local)

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

A refund to a customer of 30 dollars is recorded as a new sale of 30 dollars. What is the effect?

A. Sales are overstated by 30 dollars only
B. Sales are overstated by 60 dollars
C. Sales are understated by 30 dollars
D. There is no effect on sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F2-Q4
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BOOK.02 (local)

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

Which statement is accurate?

A. Any random category is fine as long as amounts are right.
B. Ledgers are needed only for businesses with employees.
C. Clear, consistent categories make records useful.
D. A ledger replaces the need for receipts.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F2-Q5
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BOOK.02 (local)

Set 59: Invoices, bills, money owed to you and by you

Outcome ENT.BOOK.03: Tell invoices from bills and accounts receivable from accounts payable

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
An INVOICE is a bill YOU send to a customer; until it is paid, it is money owed TO you, called ACCOUNTS RECEIVABLE. A BILL from a supplier is money YOU owe, called ACCOUNTS PAYABLE. A good invoice shows your business name, the customer, an invoice number, the date, what was provided, the amount, the due date and how to pay. Track both lists: who owes you, and whom you owe, with due dates. Paying bills on time protects your reputation with suppliers.

Money customers owe you is called what?

A. Accounts receivable
B. Retained cash in savings
C. Owner contributions to the business
D. Accounts payable owed to suppliers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-M-Q1
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · MAIN · Q1/5 · Outcome ENT.BOOK.03 (local)

Learn
An INVOICE is a bill YOU send to a customer; until it is paid, it is money owed TO you, called ACCOUNTS RECEIVABLE. A BILL from a supplier is money YOU owe, called ACCOUNTS PAYABLE. A good invoice shows your business name, the customer, an invoice number, the date, what was provided, the amount, the due date and how to pay. Track both lists: who owes you, and whom you owe, with due dates. Paying bills on time protects your reputation with suppliers.

A supplier's bill you have not paid yet is what?

A. Accounts receivable from customers
B. An owner draw for personal use
C. Revenue earned from sales
D. Accounts payable

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-M-Q2
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · MAIN · Q2/5 · Outcome ENT.BOOK.03 (local)

Learn
An INVOICE is a bill YOU send to a customer; until it is paid, it is money owed TO you, called ACCOUNTS RECEIVABLE. A BILL from a supplier is money YOU owe, called ACCOUNTS PAYABLE. A good invoice shows your business name, the customer, an invoice number, the date, what was provided, the amount, the due date and how to pay. Track both lists: who owes you, and whom you owe, with due dates. Paying bills on time protects your reputation with suppliers.

Which item should appear on an invoice?

A. A list of the owner's other customers
B. An invoice number and due date
C. The supplier's cost for the materials
D. The owner's personal bank password

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-M-Q3
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · MAIN · Q3/5 · Outcome ENT.BOOK.03 (local)

Learn
An INVOICE is a bill YOU send to a customer; until it is paid, it is money owed TO you, called ACCOUNTS RECEIVABLE. A BILL from a supplier is money YOU owe, called ACCOUNTS PAYABLE. A good invoice shows your business name, the customer, an invoice number, the date, what was provided, the amount, the due date and how to pay. Track both lists: who owes you, and whom you owe, with due dates. Paying bills on time protects your reputation with suppliers.

Receivables total 2,400 dollars and payables total 1,100 dollars. What is the difference?

A. 1,300 dollars
B. 1,100 dollars
C. 3,500 dollars
D. 2,400 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-M-Q4
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · MAIN · Q4/5 · Outcome ENT.BOOK.03 (local)

Learn
An INVOICE is a bill YOU send to a customer; until it is paid, it is money owed TO you, called ACCOUNTS RECEIVABLE. A BILL from a supplier is money YOU owe, called ACCOUNTS PAYABLE. A good invoice shows your business name, the customer, an invoice number, the date, what was provided, the amount, the due date and how to pay. Track both lists: who owes you, and whom you owe, with due dates. Paying bills on time protects your reputation with suppliers.

Why pay supplier bills on time?

A. It removes the need for any records
B. It guarantees customers will pay you sooner
C. It doubles your sales the next month
D. It protects your reputation with suppliers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-M-Q5
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · MAIN · Q5/5 · Outcome ENT.BOOK.03 (local)

Learn
An IOU is a note that says "I owe you." In a business, IOUs go two ways. When you finish a job and send an invoice, the customer holds an IOU to you: that is a receivable. When a supplier sends you a bill, you hold an IOU to them: that is a payable. Keeping two lists, "owed to me" and "I owe," stops both kinds from being forgotten.

A customer who has not paid your invoice holds an IOU to whom?

A. To the supplier
B. To the bank
C. To you
D. To nobody

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-B1-Q1
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BOOK.03 (local)

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A supplier bill means you owe whom?

A. Yourself
B. The supplier
C. The state
D. The customer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-B1-Q2
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BOOK.03 (local)

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"Owed to me" is which list?

A. Draws
B. Expenses for the month
C. Receivables
D. Payables

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-B1-Q3
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.BOOK.03 (local)

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"I owe" is which list?

A. Sales
B. Assets
C. Receivables
D. Payables

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-B1-Q4
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BOOK.03 (local)

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Why keep two lists?

A. To avoid paying
B. Because keeping only one list is illegal
C. To confuse the owner
D. So neither kind of IOU is forgotten

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-B1-Q5
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.BOOK.03 (local)

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An INVOICE is a bill YOU send to a customer; until it is paid, it is money owed TO you, called ACCOUNTS RECEIVABLE. A BILL from a supplier is money YOU owe, called ACCOUNTS PAYABLE. A good invoice shows your business name, the customer, an invoice number, the date, what was provided, the amount, the due date and how to pay. Track both lists: who owes you, and whom you owe, with due dates. Paying bills on time protects your reputation with suppliers.

Invoice 104 for 600 dollars was paid; invoice 105 for 450 dollars is unpaid; invoice 106 for 300 dollars is unpaid. What are receivables?

A. 300 dollars

B. 750 dollars

C. 600 dollars

D. 1,350 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F1-Q1
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.BOOK.03 (local)

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A supplier bill of 400 dollars is due in 5 days. Cash is 300 dollars and a 500-dollar receivable is due in 10 days. What is the best action?

A. Cancel the customer invoice

B. Ignore the bill and say nothing

C. Ask the supplier about timing before the due date

D. Pay 300 dollars and claim it was full payment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F1-Q2
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BOOK.03 (local)

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Which invoice is missing something important?

A. One with no due date or payment method
B. One showing the customer and business names and an amount and due date
C. One with a number, date, items, amount, due date and method
D. One listing the work, total and how to pay by a due date

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A business owes three bills: 120, 85 and 240 dollars. What are payables?

A. 325 dollars
B. 205 dollars
C. 360 dollars
D. 445 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F1-Q4
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.BOOK.03 (local)

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Why number invoices in order?

A. Because customers prefer large numbers on bills
B. To track each one and spot missing invoices
C. To change the amount owed later
D. To make each invoice look official only

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F1-Q5
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BOOK.03 (local)

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A customer says an invoice was never received. What should the owner do?

A. Send the same invoice to all customers
B. Resend it and confirm the correct address
C. Double the amount as a penalty right away
D. Write it off without asking anything

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F2-Q1
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BOOK.03 (local)

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An owner paid the same supplier bill twice. What should she do?

A. Ask the supplier for a refund or credit
B. Record it as a sale
C. Stop buying from that supplier forever
D. Ignore it because the supplier will notice

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F2-Q2
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BOOK.03 (local)

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A customer disputes part of an invoice: 200 of 1,000 dollars. What is undisputed?

A. 1,200 dollars
B. 200 dollars
C. 800 dollars
D. 1,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F2-Q3
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.BOOK.03 (local)

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Receivables are large but cash is low. What does this suggest?

A. Payables should be ignored
B. The business has no customers at all
C. Prices should be cut immediately
D. Collecting from customers is the priority

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F2-Q4
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BOOK.03 (local)

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Which statement is accurate?

A. Receivables are money not yet in hand.
B. Receivables can be spent today like cash.
C. Payables are money customers owe.
D. Invoices are optional for all businesses.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F2-Q5
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BOOK.03 (local)

Set 60: Owner contributions and draws in the books

Outcome ENT.BOOK.04: Keep owner money moves out of sales and expenses in the records

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
In the books, owner money is kept separate from income and expenses. An OWNER CONTRIBUTION increases the owner's stake (called owner's equity) but is NOT sales revenue. An OWNER DRAW decreases owner's equity but is NOT a business expense for a sole proprietor or most LLCs. A LOAN from the owner is recorded as money the business owes back. Mislabeling these makes profit look wrong: a contribution recorded as a sale inflates profit; a draw recorded as an expense hides it.

An owner puts 1,000 dollars into the business. Is it sales revenue?

A. Yes, but only if it is spent the same day
B. No, it is a business expense instead
C. Yes, it counts as sales for that month
D. No, it is an owner contribution

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-M-Q1
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What does an owner draw do to owner's equity?

A. Leaves it exactly unchanged
B. Decreases it
C. Turns it into revenue
D. Increases it each time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-M-Q2
Entrepreneurship, Set 60: Owner contributions and draws in the books · MAIN · Q2/5 · Outcome ENT.BOOK.04 (local)

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If a 1,000-dollar contribution is recorded as a sale, what happens to profit?

A. It looks 2,000 dollars too high
B. It looks 1,000 dollars too low
C. It looks 1,000 dollars too high
D. It looks exactly right

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-M-Q3
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How is a loan from the owner recorded?

A. As money the business owes back
B. As sales revenue for the month
C. As a supply expense
D. As an owner draw for personal use

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-M-Q4
Entrepreneurship, Set 60: Owner contributions and draws in the books · MAIN · Q4/5 · Outcome ENT.BOOK.04 (local)

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A draw recorded as an expense does what to profit?

A. Makes it look too high
B. Makes it look too low
C. Doubles it
D. Has no effect on profit at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-M-Q5
Entrepreneurship, Set 60: Owner contributions and draws in the books · MAIN · Q5/5 · Outcome ENT.BOOK.04 (local)

Learn
Picture a family bakery. When Grandma lends the bakery money, that is family money moving in, not a cake sale. When the baker takes money home, that is family money moving out, not the cost of flour. Only cake sales are revenue, and only business costs like flour are expenses. Mixing family moves with sales and costs gives a false picture of how the bakery is doing.

Grandma's loan to the bakery is what?

A. Family money moving in, not a sale
B. A flour expense for the cakes
C. A tax
D. A cake sale

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-B1-Q1
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The baker taking money home is what?

A. A cake sale
B. Family money moving out, not an expense
C. The cost of flour for the week's cakes
D. A loan

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-B1-Q2
Entrepreneurship, Set 60: Owner contributions and draws in the books · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BOOK.04 (local)

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What counts as revenue?

A. Grandma's loan
B. Cake sales
C. A gift
D. Money taken home

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-B1-Q3
Entrepreneurship, Set 60: Owner contributions and draws in the books · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.BOOK.04 (local)

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What counts as an expense?

A. Flour for the cakes
B. Cake sales
C. Grandma's loan
D. Money taken home

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-B1-Q4
Entrepreneurship, Set 60: Owner contributions and draws in the books · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BOOK.04 (local)

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Mixing family moves with sales gives what?

A. A true picture
B. More money
C. Lower taxes
D. A false picture

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-B1-Q5
Entrepreneurship, Set 60: Owner contributions and draws in the books · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.BOOK.04 (local)

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Records show sales of 5,000 dollars, including a 1,500-dollar owner contribution. Expenses are 3,000 dollars. What is the true profit?

A. 3,500 dollars

B. 1,500 dollars

C. 500 dollars

D. 2,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F1-Q1
Entrepreneurship, Set 60: Owner contributions and draws in the books · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.BOOK.04 (local)

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Expenses of 4,200 dollars include 1,200 dollars of owner draws. Sales are 6,000 dollars. What is the true profit for a sole proprietor?

A. 3,000 dollars
B. 4,200 dollars
C. 1,800 dollars
D. 6,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F1-Q2
Entrepreneurship, Set 60: Owner contributions and draws in the books · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BOOK.04 (local)

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An owner lends 2,000 dollars and the business repays 500 dollars. What does the business still owe her?

A. 2,500 dollars
B. 500 dollars
C. 1,500 dollars
D. 2,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F1-Q3
Entrepreneurship, Set 60: Owner contributions and draws in the books · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.BOOK.04 (local)

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Which label fits "moved 300 dollars from my savings to buy a printer for the shop"?

A. Refund to a customer
B. Owner contribution
C. Owner draw for personal use
D. Sales revenue from customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F1-Q4
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Why does correct labeling matter for a loan application?

A. Labels change the bank's interest rate directly
B. Lenders ignore records
C. Labels are only for taxes
D. Lenders look at true profit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F1-Q5
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An owner moved 800 dollars into the business without saying whether it was a loan or a contribution. What should she do?

A. Record it as sales to be safe
B. Leave it unlabeled forever
C. Record it as an expense
D. Decide and document which it is

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F2-Q1
Entrepreneurship, Set 60: Owner contributions and draws in the books · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BOOK.04 (local)

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Two partners contribute 1,000 and 3,000 dollars. They agreed contributions affect ownership. What share did the first partner contribute?

A. 33 percent
B. 25 percent
C. 50 percent
D. 75 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F2-Q2
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A corporation pays its owner-employee a salary through payroll. How does this differ from a sole proprietor's draw?

A. It is exactly the same as a draw
B. It is recorded as sales
C. Salary through payroll is usually a business expense
D. Salaries are never allowed for owners of any business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F2-Q3
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For the year, an owner's draws exceed the business's profit, with no new owner contributions or other equity changes. What happens to owner's equity?

A. It goes down
B. It becomes revenue
C. It goes up
D. It stays the same

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F2-Q4
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In the books, owner money is kept separate from income and expenses. An OWNER CONTRIBUTION increases the owner's stake (called owner's equity) but is NOT sales revenue. An OWNER DRAW decreases owner's equity but is NOT a business expense for a sole proprietor or most LLCs. A LOAN from the owner is recorded as money the business owes back. Mislabeling these makes profit look wrong: a contribution recorded as a sale inflates profit; a draw recorded as an expense hides it.

Which statement is accurate?

A. Owner money moves are recorded, but not as sales or (for draws) expenses.

B. Draws are always deductible expenses.

C. Owner money never needs to be recorded at all, since it is the owner's own money.

D. All owner money is revenue.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F2-Q5
Entrepreneurship, Set 60: Owner contributions and draws in the books · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BOOK.04 (local)

Set 61: Cash and accrual basics

Outcome ENT.BOOK.05: Tell cash-basis from accrual-basis recording in a simple example

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
There are two common ways to record when income and expenses count. CASH BASIS records income when money is received and expenses when money is paid. ACCRUAL BASIS records income when it is earned (for example, when the work is done and invoiced) and expenses when they are incurred, even if payment happens later. Example: a job finished in December but paid in January counts as December income under accrual and January income under cash. Many small businesses start on cash basis; tax rules on which method may be used vary, so ask a tax professional.

Under cash basis, when is income recorded?

A. When money is received
B. When the invoice is designed in software
C. When the customer first asks for a quote
D. When the work is advertised online

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-M-Q1
Entrepreneurship, Set 61: Cash and accrual basics · MAIN · Q1/5 · Outcome ENT.BOOK.05 (local)

Learn
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Under accrual basis, when is income recorded?

A. Only when the owner takes a draw
B. Only when cash arrives in the bank
C. Only at the end of each tax year
D. When it is earned

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-M-Q2
Entrepreneurship, Set 61: Cash and accrual basics · MAIN · Q2/5 · Outcome ENT.BOOK.05 (local)

Learn
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Work done in December, paid in January. Under accrual, which month gets the income?

A. January
B. December
C. Neither month
D. Both months equally

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-M-Q3
Entrepreneurship, Set 61: Cash and accrual basics · MAIN · Q3/5 · Outcome ENT.BOOK.05 (local)

Learn
There are two common ways to record when income and expenses count. CASH BASIS records income when money is received and expenses when money is paid. ACCRUAL BASIS records income when it is earned (for example, when the work is done and invoiced) and expenses when they are incurred, even if payment happens later. Example: a job finished in December but paid in January counts as December income under accrual and January income under cash. Many small businesses start on cash basis; tax rules on which method may be used vary, so ask a tax professional.

Same job under cash basis: which month?

A. Both months
B. December
C. Neither month
D. January

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-M-Q4
Entrepreneurship, Set 61: Cash and accrual basics · MAIN · Q4/5 · Outcome ENT.BOOK.05 (local)

Learn
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Who should be asked about which method a business may use for taxes?

A. A social media follower
B. The supplier of packaging
C. A tax professional
D. A customer who likes the products

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-M-Q5
Entrepreneurship, Set 61: Cash and accrual basics · MAIN · Q5/5 · Outcome ENT.BOOK.05 (local)

Learn
Imagine counting a homework assignment as "done" either when you finish it or when the teacher hands back the grade. Accrual is like counting it when you finish the work. Cash basis is like counting it when the grade (the money) comes back. The same assignment just lands on a different day depending on which rule you use.

Counting when you finish the work is like which basis?

A. Accrual
B. Neither
C. Cash
D. Both

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-B1-Q1
Entrepreneurship, Set 61: Cash and accrual basics · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BOOK.05 (local)

Learn
Imagine counting a homework assignment as "done" either when you finish it or when the teacher hands back the grade. Accrual is like counting it when you finish the work. Cash basis is like counting it when the grade (the money) comes back. The same assignment just lands on a different day depending on which rule you use.

Counting when the grade comes back is like which basis?

A. Both
B. Cash
C. Neither
D. Accrual

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-B1-Q2
Entrepreneurship, Set 61: Cash and accrual basics · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BOOK.05 (local)

Learn
Imagine counting a homework assignment as "done" either when you finish it or when the teacher hands back the grade. Accrual is like counting it when you finish the work. Cash basis is like counting it when the grade (the money) comes back. The same assignment just lands on a different day depending on which rule you use.

Does the amount of work change between methods?

A. No, only the timing
B. Yes, it halves
C. Yes, it doubles
D. Yes, it disappears

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-B1-Q3
Entrepreneurship, Set 61: Cash and accrual basics · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.BOOK.05 (local)

Learn
Imagine counting a homework assignment as "done" either when you finish it or when the teacher hands back the grade. Accrual is like counting it when you finish the work. Cash basis is like counting it when the grade (the money) comes back. The same assignment just lands on a different day depending on which rule you use.

In the picture, the "grade coming back" stands for what?

A. Work finished
B. A late fee
C. Money received
D. A new assignment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-B1-Q4
Entrepreneurship, Set 61: Cash and accrual basics · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BOOK.05 (local)

Learn
Imagine counting a homework assignment as "done" either when you finish it or when the teacher hands back the grade. Accrual is like counting it when you finish the work. Cash basis is like counting it when the grade (the money) comes back. The same assignment just lands on a different day depending on which rule you use.

Why might the same job land in different months?

A. The job changed
B. One is illegal
C. Customers decide the month to use
D. The two methods use different moments

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-B1-Q5
Entrepreneurship, Set 61: Cash and accrual basics · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.BOOK.05 (local)

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A plumber finishes a 900-dollar job on March 28 and is paid April 5. Under cash basis, how much March income does this job add?

A. 900 dollars
B. 5 dollars
C. 450 dollars
D. 0 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F1-Q1
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.BOOK.05 (local)

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A shop receives a 300-dollar supply bill in June and pays it in July. Under accrual, when is the expense?

A. Never
B. August
C. June
D. July

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F1-Q2
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BOOK.05 (local)

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In May, a consultant earned and invoiced 4,000 dollars for May work and was paid 2,500 dollars of it in May. Under cash basis, May income is?

A. 1,500 dollars
B. 2,500 dollars
C. 6,500 dollars
D. 4,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F1-Q3
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.BOOK.05 (local)

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In May, a consultant earned and invoiced 4,000 dollars for May work and was paid 2,500 dollars of it in May. Under accrual, May income is?

A. 4,000 dollars
B. 2,500 dollars
C. 0 dollars
D. 1,500 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F1-Q4
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.BOOK.05 (local)

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Which method shows more clearly how much work was done each month?

A. Both always match
B. Cash
C. Neither method
D. Accrual

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F1-Q5
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BOOK.05 (local)

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An owner records some income when invoiced and some when paid. What is the problem?

A. It makes records more accurate
B. Taxes are automatically lower
C. Nothing; mixing methods is recommended
D. Income may be counted twice or missed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F2-Q1
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BOOK.05 (local)

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Under cash basis, an owner prepays 12 months of insurance (1,200 dollars) in January. What does January show?

A. 100 dollars of expense

B. 2,400 dollars of expense

C. 1,200 dollars of expense

D. 0 dollars of expense

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F2-Q2
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BOOK.05 (local)

Learn
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Under accrual, the same 1,200-dollar insurance covers 12 months. About how much is recorded as each month's expense?

A. 100 dollars
B. 1,200 dollars
C. 0 dollars
D. 12 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F2-Q3
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.BOOK.05 (local)

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A business wants to change its tax accounting method. What should it do first?

A. Change it silently in the middle of the year
B. Ask a tax professional about the rules
C. Ask a customer
D. Use both methods at once

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F2-Q4
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BOOK.05 (local)

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Which statement is accurate?

A. Accrual ignores unpaid invoices.
B. Accrual always shows more profit.
C. Cash basis is illegal for every kind of business to use.
D. Cash and accrual differ in timing, not in total amounts over time.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F2-Q5
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BOOK.05 (local)

Set 62: Profit and loss, balance sheet, cash flow

Outcome ENT.BOOK.06: Tell what a profit-and-loss statement, balance sheet and cash-flow summary each show

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

Which report shows profit over a month?

A. The balance sheet on one date
B. The cash flow statement only
C. The profit and loss statement
D. The supplier's price list

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-M-Q1
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · MAIN · Q1/5 · Outcome ENT.BOOK.06 (local)

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Which report shows what the business owns and owes on one date?

A. A marketing plan for the year
B. The cash flow statement
C. The profit and loss statement
D. The balance sheet

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-M-Q2
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · MAIN · Q2/5 · Outcome ENT.BOOK.06 (local)

Learn
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Assets are 10,000 dollars and liabilities are 4,000 dollars. What is equity?

A. 14,000 dollars
B. 6,000 dollars
C. 10,000 dollars
D. 4,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-M-Q3
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · MAIN · Q3/5 · Outcome ENT.BOOK.06 (local)

Learn
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Which is a liability?

A. An unpaid bank loan
B. Inventory on shelves
C. A delivery van owned
D. Cash in the business account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-M-Q4
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · MAIN · Q4/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

Which report best shows where cash came from and went?

A. A customer review page
B. The cash flow statement
C. The profit and loss statement
D. The balance sheet

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-M-Q5
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · MAIN · Q5/5 · Outcome ENT.BOOK.06 (local)

Learn
The balance sheet equation is assets = liabilities + equity. If you know two of the numbers, you can find the third. To find equity: equity = assets - liabilities. To find assets: add liabilities and equity. Example: liabilities 3,000 and equity 5,000 means assets are 8,000. Check by adding back: if equity = assets - liabilities, then liabilities + equity must equal the assets you started with.

Liabilities 2,000, equity 7,000. What are assets?

A. 7,000
B. 2,000
C. 5,000
D. 9,000

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-B1-Q1
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.BOOK.06 (local)

Learn
The balance sheet equation is assets = liabilities + equity. If you know two of the numbers, you can find the third. To find equity: equity = assets - liabilities. To find assets: add liabilities and equity. Example: liabilities 3,000 and equity 5,000 means assets are 8,000. Check by adding back: if equity = assets - liabilities, then liabilities + equity must equal the assets you started with.

Assets 12,000, liabilities 5,000. What is equity?

A. 5,000
B. 17,000
C. 7,000
D. 12,000

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-B1-Q2
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.BOOK.06 (local)

Learn
The balance sheet equation is assets = liabilities + equity. If you know two of the numbers, you can find the third. To find equity: equity = assets - liabilities. To find assets: add liabilities and equity. Example: liabilities 3,000 and equity 5,000 means assets are 8,000. Check by adding back: if equity = assets - liabilities, then liabilities + equity must equal the assets you started with.

Assets 6,000, equity 6,000. What are liabilities?

A. 12,000
B. 0
C. 6,000
D. 1

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-B1-Q3
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.BOOK.06 (local)

Learn
The balance sheet equation is assets = liabilities + equity. If you know two of the numbers, you can find the third. To find equity: equity = assets - liabilities. To find assets: add liabilities and equity. Example: liabilities 3,000 and equity 5,000 means assets are 8,000. Check by adding back: if equity = assets - liabilities, then liabilities + equity must equal the assets you started with.

Which equation is correct?

A. Liabilities = assets + equity
B. Equity = assets + liabilities
C. Assets = liabilities + equity
D. Assets = liabilities - equity

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-B1-Q4
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.BOOK.06 (local)

Learn
The balance sheet equation is assets = liabilities + equity. If you know two of the numbers, you can find the third. To find equity: equity = assets - liabilities. To find assets: add liabilities and equity. Example: liabilities 3,000 and equity 5,000 means assets are 8,000. Check by adding back: if equity = assets - liabilities, then liabilities + equity must equal the assets you started with.

Assets 4,500, liabilities 1,500. What is equity?

A. 4,500
B. 6,000
C. 1,500
D. 3,000

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-B1-Q5
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.BOOK.06 (local)

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Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

An owner wants to know if March was profitable. Which report?

A. The March profit and loss statement
B. The balance sheet from last year
C. A list of customer names
D. The supplier's catalog

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F1-Q1
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.BOOK.06 (local)

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A lender wants to know how much the business owes in total today. Which report?

A. A tax receipt
B. The balance sheet
C. The profit and loss statement
D. A sales flyer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F1-Q2
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

A P&L shows revenue 8,000 and expenses 6,500. What profit does it report?

A. 6,500 dollars
B. 14,500 dollars
C. 8,000 dollars
D. 1,500 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F1-Q3
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.BOOK.06 (local)

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Profit was 1,500 but cash fell by 700 because the owner bought equipment for 2,200. Which report shows this cash use clearly?

A. The logo guide
B. The profit and loss statement alone
C. The cash flow statement
D. A customer survey

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F1-Q4
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A balance sheet shows cash 2,000, equipment 3,000, a loan of 1,500 and unpaid bills of 500. What is equity?

A. 3,000 dollars
B. 2,000 dollars
C. 5,000 dollars
D. 7,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F1-Q5
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

The P&L shows a profit, but the bank balance fell. What could explain it?

A. The P&L must be fake
B. The bank made a mistake on every single statement
C. Profit and cash must always match
D. Cash was used for equipment, loan payments or draws

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F2-Q1
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

A balance sheet does not balance: assets 9,000, liabilities 3,000, equity 5,000. What is the gap?

A. 0 dollars
B. 8,000 dollars
C. 1,000 dollars
D. 9,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F2-Q2
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

What should the owner do about that gap?

A. Add 1,000 dollars of fake equity
B. Look for a missing or mislabeled record
C. Ignore it because reports never balance
D. Delete the balance sheet

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F2-Q3
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.BOOK.06 (local)

Learn
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An owner reads only the P&L and misses that a large loan is due next month. Which report would have shown the loan?

A. The balance sheet
B. The P&L alone
C. A customer list
D. A marketing report

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F2-Q4
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

Which statement is accurate?

A. Reports are only for big companies.
B. Cash flow and profit are the same report.
C. Each report answers a different question, so review all three.
D. One report tells everything an owner needs to know about a business.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F2-Q5
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BOOK.06 (local)

Set 63: Deductions versus credits

Outcome ENT.TAX.01: Tell a tax deduction from a tax credit, and explain that a deduction does not make a purchase free

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

What does a deduction lower?

A. The income that tax is calculated on
B. The tax itself, dollar for dollar, after it is calculated
C. The price customers pay for each product
D. The interest rate on a business loan

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-M-Q1
Entrepreneurship, Set 63: Deductions versus credits · MAIN · Q1/5 · Outcome ENT.TAX.01 (local)

Learn
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What does a credit lower?

A. Only the number of receipts the owner must keep
B. The tax itself, dollar for dollar
C. Only the sales tax collected from customers
D. Only the income that tax is calculated on

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-M-Q2
Entrepreneurship, Set 63: Deductions versus credits · MAIN · Q2/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

With a made-up 20 percent rate, how much tax does a 500-dollar deduction save?

A. 500 dollars
B. 20 dollars
C. 100 dollars
D. 400 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-M-Q3
Entrepreneurship, Set 63: Deductions versus credits · MAIN · Q3/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

With a made-up 20 percent rate, assume a 500-dollar credit is fully eligible and usable. How much tax does it save?

A. 500 dollars
B. 100 dollars
C. 20 dollars
D. 2,500 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-M-Q4
Entrepreneurship, Set 63: Deductions versus credits · MAIN · Q4/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

Which expenses are commonly deductible for a business?

A. Only expenses over 10,000 dollars each
B. Ordinary and necessary business expenses
C. Any personal purchase the owner makes during the year
D. Only expenses paid in cash with no receipt

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-M-Q5
Entrepreneurship, Set 63: Deductions versus credits · MAIN · Q5/5 · Outcome ENT.TAX.01 (local)

Learn
Imagine two coupons. One lowers the price of the item before tax is added; the other takes money straight off the final bill. A deduction is like the first coupon: it shrinks the amount that tax is figured on. A credit is like the second: it comes straight off what you owe. For the same dollar amount, the second coupon usually saves you more.

A deduction is like which coupon?

A. One that expired
B. One that adds a fee
C. One that lowers the amount tax is figured on
D. One that comes straight off the final bill

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-B1-Q1
Entrepreneurship, Set 63: Deductions versus credits · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TAX.01 (local)

Learn
Imagine two coupons. One lowers the price of the item before tax is added; the other takes money straight off the final bill. A deduction is like the first coupon: it shrinks the amount that tax is figured on. A credit is like the second: it comes straight off what you owe. For the same dollar amount, the second coupon usually saves you more.

A credit is like which coupon?

A. One straight off the final bill
B. One for a free gift
C. One that lowers the base
D. One that raises the final bill

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-B1-Q2
Entrepreneurship, Set 63: Deductions versus credits · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TAX.01 (local)

Learn
Imagine two coupons. One lowers the price of the item before tax is added; the other takes money straight off the final bill. A deduction is like the first coupon: it shrinks the amount that tax is figured on. A credit is like the second: it comes straight off what you owe. For the same dollar amount, the second coupon usually saves you more.

For the same dollar amount, which usually saves more?

A. They always save the same
B. The credit
C. Neither saves anything
D. The deduction

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-B1-Q3
Entrepreneurship, Set 63: Deductions versus credits · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TAX.01 (local)

Learn
Imagine two coupons. One lowers the price of the item before tax is added; the other takes money straight off the final bill. A deduction is like the first coupon: it shrinks the amount that tax is figured on. A credit is like the second: it comes straight off what you owe. For the same dollar amount, the second coupon usually saves you more.

What does "the amount tax is figured on" mean here?

A. The coupon's color
B. The store's name
C. Taxable income
D. The final bill

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-B1-Q4
Entrepreneurship, Set 63: Deductions versus credits · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TAX.01 (local)

Learn
Imagine two coupons. One lowers the price of the item before tax is added; the other takes money straight off the final bill. A deduction is like the first coupon: it shrinks the amount that tax is figured on. A credit is like the second: it comes straight off what you owe. For the same dollar amount, the second coupon usually saves you more.

"Straight off what you owe" describes what?

A. A credit
B. A deduction
C. A refund policy
D. A fee

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-B1-Q5
Entrepreneurship, Set 63: Deductions versus credits · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

Assume a 25 percent rate (an assumption for practice). A 2,000-dollar business expense is deductible. About how much tax does it save?

A. 25 dollars
B. 2,000 dollars
C. 1,500 dollars
D. 500 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F1-Q1
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

Assume a flat made-up 25 percent rate and that the credit is fully eligible and usable. Which saves more: a 1,000-dollar deduction or a 400-dollar credit?

A. The 400-dollar credit

B. They save exactly the same amount of tax

C. The 1,000-dollar deduction, since it is a bigger number

D. Neither one changes the tax owed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F1-Q2
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

An owner says, "Buying anything is free because it's a deduction." What is wrong?

A. Nothing; deductions refund the whole price

B. A deduction saves only part of the cost

C. Deductions are always illegal

D. Purchases cannot be deducted ever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F1-Q3
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.TAX.01 (local)

Learn
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With a 25 percent assumed rate, a 600-dollar printer that is fully deductible really costs the owner about how much after tax savings?

A. 0 dollars
B. 150 dollars
C. 450 dollars
D. 600 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F1-Q4
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

Which is the best source to confirm which credits a business qualifies for?

A. A product advertisement promising "tax-free" purchases
B. A friend's guess based on a different year
C. A social media post with no source listed
D. A tax professional or official tax agency guidance

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F1-Q5
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

A seller claims a gadget "pays for itself through tax write-offs." What should a buyer understand?

A. Tax savings always exceed cost

B. The government reimburses the full price of the gadget to the buyer

C. A write-off reduces taxable income; it does not refund the price

D. Write-offs work for personal items too

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F2-Q1
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

An owner deducts a family vacation as a business trip. What is the problem?

A. Deductions do not need a business purpose
B. Vacations are always deductible
C. No problem as long as she brings a laptop
D. Personal expenses are not business deductions

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F2-Q2
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

The owner does not know her flat marginal rate, only that it is below 100 percent. Both items are fully eligible and the credit is fully usable. Can she still compare a deduction and a credit of the same size?

A. Yes; under these assumptions the credit saves at least as much

B. Only if the rate is zero

C. No, never without the exact rate

D. Yes; the deduction always saves more than a credit of the same size

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F2-Q3
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

Credits and deductions available last year may have changed. What should the owner do?

A. Copy last year's return exactly
B. Assume tax law never changes
C. Check current rules each year
D. Skip deductions to be safe

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F2-Q4
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

Which statement is accurate for this course?

A. The 25 percent rate is the real rate for everyone.

B. It teaches the idea, not current rates or credit amounts.

C. Deductions and credits are the same thing.

D. It lists every current tax credit and rate.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F2-Q5
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TAX.01 (local)

Set 64: Business use versus personal use

Outcome ENT.TAX.02: Separate business and personal use of an item or account

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Some items are used for both business and personal life: a car, a phone, a home internet plan, or part of a home. Generally only the BUSINESS-USE PORTION can be treated as a business expense. Keep evidence of the split: a mileage log for a car, or a reasonable record of phone use. Example: if a phone bill is 60 dollars and 40 percent of use is for business, the business portion is 0.40 x 60 = 24 dollars. Home office rules are specific; check official guidance or a tax professional.

A phone bill is 80 dollars and 25 percent of use is for business. What is the business portion?

A. 25 dollars
B. 60 dollars
C. 80 dollars
D. 20 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-M-Q1
Entrepreneurship, Set 64: Business use versus personal use · MAIN · Q1/5 · Outcome ENT.TAX.02 (local)

Learn
Some items are used for both business and personal life: a car, a phone, a home internet plan, or part of a home. Generally only the BUSINESS-USE PORTION can be treated as a business expense. Keep evidence of the split: a mileage log for a car, or a reasonable record of phone use. Example: if a phone bill is 60 dollars and 40 percent of use is for business, the business portion is 0.40 x 60 = 24 dollars. Home office rules are specific; check official guidance or a tax professional.

What evidence supports business use of a car?

A. A mileage log
B. A photo of the car's paint color
C. A guess written at year end
D. The car's brand name on a website

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-M-Q2
Entrepreneurship, Set 64: Business use versus personal use · MAIN · Q2/5 · Outcome ENT.TAX.02 (local)

Learn
Some items are used for both business and personal life: a car, a phone, a home internet plan, or part of a home. Generally only the BUSINESS-USE PORTION can be treated as a business expense. Keep evidence of the split: a mileage log for a car, or a reasonable record of phone use. Example: if a phone bill is 60 dollars and 40 percent of use is for business, the business portion is 0.40 x 60 = 24 dollars. Home office rules are specific; check official guidance or a tax professional.

Which item is most likely mixed-use?

A. Booth rent at a craft fair for selling
B. A family birthday cake for the owner's child
C. A cell phone used for clients and family
D. Packaging bought only for customer orders

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-M-Q3
Entrepreneurship, Set 64: Business use versus personal use · MAIN · Q3/5 · Outcome ENT.TAX.02 (local)

Learn
Some items are used for both business and personal life: a car, a phone, a home internet plan, or part of a home. Generally only the BUSINESS-USE PORTION can be treated as a business expense. Keep evidence of the split: a mileage log for a car, or a reasonable record of phone use. Example: if a phone bill is 60 dollars and 40 percent of use is for business, the business portion is 0.40 x 60 = 24 dollars. Home office rules are specific; check official guidance or a tax professional.

Generally, which part of a mixed-use cost may be a business expense?

A. None of it, ever
B. Double the business portion
C. The whole cost, always, with no split needed
D. The business-use portion

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-M-Q4
Entrepreneurship, Set 64: Business use versus personal use · MAIN · Q4/5 · Outcome ENT.TAX.02 (local)

Learn
Some items are used for both business and personal life: a car, a phone, a home internet plan, or part of a home. Generally only the BUSINESS-USE PORTION can be treated as a business expense. Keep evidence of the split: a mileage log for a car, or a reasonable record of phone use. Example: if a phone bill is 60 dollars and 40 percent of use is for business, the business portion is 0.40 x 60 = 24 dollars. Home office rules are specific; check official guidance or a tax professional.

Where should an owner check home office rules?

A. Official guidance or a tax professional
B. A video comment from a stranger
C. A furniture store ad
D. A neighbor's opinion over the fence

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-M-Q5
Entrepreneurship, Set 64: Business use versus personal use · MAIN · Q5/5 · Outcome ENT.TAX.02 (local)

Learn
To find the business share of a bill, change the business-use percent to a decimal and multiply by the bill. 30 percent = 0.30; 0.30 x 90 = 27 dollars. The personal share is the rest: 90 - 27 = 63. Check: the two shares add back to the bill, 27 + 63 = 90. If business use is given as a fraction, like 3 of 10 trips, that is 30 percent.

What is 30 percent of 50?

A. 35
B. 1.5
C. 15
D. 20

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-B1-Q1
Entrepreneurship, Set 64: Business use versus personal use · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.TAX.02 (local)

Learn
To find the business share of a bill, change the business-use percent to a decimal and multiply by the bill. 30 percent = 0.30; 0.30 x 90 = 27 dollars. The personal share is the rest: 90 - 27 = 63. Check: the two shares add back to the bill, 27 + 63 = 90. If business use is given as a fraction, like 3 of 10 trips, that is 30 percent.

Business share is 15 of a 50-dollar bill. What is the personal share?

A. 65
B. 35
C. 50
D. 15

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-B1-Q2
Entrepreneurship, Set 64: Business use versus personal use · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.TAX.02 (local)

Learn
To find the business share of a bill, change the business-use percent to a decimal and multiply by the bill. 30 percent = 0.30; 0.30 x 90 = 27 dollars. The personal share is the rest: 90 - 27 = 63. Check: the two shares add back to the bill, 27 + 63 = 90. If business use is given as a fraction, like 3 of 10 trips, that is 30 percent.

4 of 10 trips were for business. What percent is that?

A. 40 percent
B. 14 percent
C. 4 percent
D. 60 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-B1-Q3
Entrepreneurship, Set 64: Business use versus personal use · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.TAX.02 (local)

Learn
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What is 60 percent of 120?

A. 180
B. 60
C. 48
D. 72

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-B1-Q4
Entrepreneurship, Set 64: Business use versus personal use · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.TAX.02 (local)

Learn
To find the business share of a bill, change the business-use percent to a decimal and multiply by the bill. 30 percent = 0.30; 0.30 x 90 = 27 dollars. The personal share is the rest: 90 - 27 = 63. Check: the two shares add back to the bill, 27 + 63 = 90. If business use is given as a fraction, like 3 of 10 trips, that is 30 percent.

How do you check a business and personal split?

A. They must be equal
B. The two shares add back to the bill
C. They should multiply to the bill
D. The business share must be bigger

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-B1-Q5
Entrepreneurship, Set 64: Business use versus personal use · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.TAX.02 (local)

Learn
Some items are used for both business and personal life: a car, a phone, a home internet plan, or part of a home. Generally only the BUSINESS-USE PORTION can be treated as a business expense. Keep evidence of the split: a mileage log for a car, or a reasonable record of phone use. Example: if a phone bill is 60 dollars and 40 percent of use is for business, the business portion is 0.40 x 60 = 24 dollars. Home office rules are specific; check official guidance or a tax professional.

A mileage log shows 3,000 business miles out of 12,000 total. What percent is business use?

A. 75 percent
B. 4 percent
C. 25 percent
D. 30 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F1-Q1
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TAX.02 (local)

Learn
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Home internet is 70 dollars a month; a reasonable record shows 50 percent business use. What is the yearly business portion?

A. 840 dollars

B. 420 dollars

C. 35 dollars

D. 70 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F1-Q2
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TAX.02 (local)

Learn
Some items are used for both business and personal life: a car, a phone, a home internet plan, or part of a home. Generally only the BUSINESS-USE PORTION can be treated as a business expense. Keep evidence of the split: a mileage log for a car, or a reasonable record of phone use. Example: if a phone bill is 60 dollars and 40 percent of use is for business, the business portion is 0.40 x 60 = 24 dollars. Home office rules are specific; check official guidance or a tax professional.

An owner claims 100 percent business use of a car she also drives to the grocery store. What is the issue?

A. No issue, because any business-use percent is allowed
B. Grocery trips are business trips
C. The claim does not match her actual mixed use
D. Cars are never business assets

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F1-Q3
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.TAX.02 (local)

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Which record best supports a phone business-use percent?

A. A sample of call and data logs showing business use
B. A guess made at tax time
C. A photo of the phone's case and screen taken at tax time
D. The phone's purchase box

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F1-Q4
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TAX.02 (local)

Learn
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A laptop costing 900 dollars is used 80 percent for business. What is the business portion?

A. 900 dollars
B. 180 dollars
C. 80 dollars
D. 720 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F1-Q5
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TAX.02 (local)

Learn
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An owner forgot to keep a mileage log for six months. What is a sensible step now?

A. Skip records from now on too
B. Claim 100 percent business use
C. Start a log now and reconstruct carefully from calendars
D. Make up a full log now using round numbers for each week

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F2-Q1
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TAX.02 (local)

Learn
Some items are used for both business and personal life: a car, a phone, a home internet plan, or part of a home. Generally only the BUSINESS-USE PORTION can be treated as a business expense. Keep evidence of the split: a mileage log for a car, or a reasonable record of phone use. Example: if a phone bill is 60 dollars and 40 percent of use is for business, the business portion is 0.40 x 60 = 24 dollars. Home office rules are specific; check official guidance or a tax professional.

Business use of a phone rises from 30 to 60 percent mid-year. What should records show?

A. The change and when it happened
B. Only the lower percent
C. No percent at all
D. Only the higher percent for the whole year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F2-Q2
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TAX.02 (local)

Learn
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A family member also uses the business laptop. What should the owner consider?

A. Whether the business-use percent should be lower
B. Raising the business percent
C. Hiding the family use
D. Nothing, because family use never matters for business items

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F2-Q3
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TAX.02 (local)

Learn
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Rules for home offices are detailed. What is the safest approach?

A. Copy a friend's home office claim from last year
B. Assume any room counts
C. Read official guidance or ask a tax professional
D. Claim the whole home as an office

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F2-Q4
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TAX.02 (local)

Learn
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Which statement is accurate?

A. Personal use never matters.
B. Records are optional for mixed-use items.
C. Mixed-use costs are split, and the split needs evidence.
D. Every purchase by an owner is fully deductible.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F2-Q5
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TAX.02 (local)

Set 65: Sales tax versus income tax

Outcome ENT.TAX.03: Tell sales tax (collected from customers where required) from income tax (on profit)

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
SALES TAX is charged to customers on certain sales; the business collects it and sends it to the state or local government. It is not the business's money. Rules vary: some states have no general sales tax, and some items or services may be exempt. A business may need a permit or account before collecting. INCOME TAX is a tax on the business's profit (for many small businesses, reported on the owner's return). Keep collected sales tax separate so it is not spent by accident.

Who pays sales tax in the end?

A. Nobody; it is optional for every sale
B. The customer, collected by the business
C. The business, out of its own profit
D. The supplier, before the item is shipped

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-M-Q1
Entrepreneurship, Set 65: Sales tax versus income tax · MAIN · Q1/5 · Outcome ENT.TAX.03 (local)

Learn
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What is income tax based on?

A. The size of the store sign
B. The number of employees only
C. Each customer's sales tax amount
D. Profit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-M-Q2
Entrepreneurship, Set 65: Sales tax versus income tax · MAIN · Q2/5 · Outcome ENT.TAX.03 (local)

Learn
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A 50-dollar taxable sale with a 6 percent sales tax (example rate). How much tax is collected?

A. 3 dollars
B. 0.30 dollars
C. 6 dollars
D. 53 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-M-Q3
Entrepreneurship, Set 65: Sales tax versus income tax · MAIN · Q3/5 · Outcome ENT.TAX.03 (local)

Learn
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Why keep collected sales tax separate?

A. It is extra profit the business can spend
B. It belongs to the government, not the business
C. It doubles if kept in savings
D. It must be given back to customers each week

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-M-Q4
Entrepreneurship, Set 65: Sales tax versus income tax · MAIN · Q4/5 · Outcome ENT.TAX.03 (local)

Learn
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Do all states have the same sales tax rules?

A. No; rules vary
B. No state has sales tax
C. Yes; every state is identical
D. Yes; federal law sets one rate

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-M-Q5
Entrepreneurship, Set 65: Sales tax versus income tax · MAIN · Q5/5 · Outcome ENT.TAX.03 (local)

Learn
Imagine a friend gives you 5 dollars to pass to the coach. That money is in your pocket, but it is not yours. Sales tax is like that: customers give it to you to pass to the government. Income tax is different: it is a tax on what you yourself earned as profit. Mixing the coach's 5 dollars with your own money can lead to spending it by mistake.

The coach's 5 dollars is like what?

A. Sales tax collected from customers
B. An owner draw
C. A refund
D. The business's own profit for the day

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-B1-Q1
Entrepreneurship, Set 65: Sales tax versus income tax · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TAX.03 (local)

Learn
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Whose money is the coach's 5 dollars?

A. The friend's forever
B. Nobody's
C. Yours
D. The coach's

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-B1-Q2
Entrepreneurship, Set 65: Sales tax versus income tax · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TAX.03 (local)

Learn
Imagine a friend gives you 5 dollars to pass to the coach. That money is in your pocket, but it is not yours. Sales tax is like that: customers give it to you to pass to the government. Income tax is different: it is a tax on what you yourself earned as profit. Mixing the coach's 5 dollars with your own money can lead to spending it by mistake.

Income tax is a tax on what?

A. Money held for others
B. Your shoes
C. What you earned as profit
D. Your friend's money

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-B1-Q3
Entrepreneurship, Set 65: Sales tax versus income tax · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TAX.03 (local)

Learn
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What is the risk of mixing the 5 dollars with your own money?

A. Spending it by mistake
B. It disappears legally
C. It grows
D. Nothing at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-B1-Q4
Entrepreneurship, Set 65: Sales tax versus income tax · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TAX.03 (local)

Learn
Imagine a friend gives you 5 dollars to pass to the coach. That money is in your pocket, but it is not yours. Sales tax is like that: customers give it to you to pass to the government. Income tax is different: it is a tax on what you yourself earned as profit. Mixing the coach's 5 dollars with your own money can lead to spending it by mistake.

In this picture, the government is like whom?

A. You
B. The friend
C. The store
D. The coach

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-B1-Q5
Entrepreneurship, Set 65: Sales tax versus income tax · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TAX.03 (local)

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A shop sells 2,000 dollars of taxable goods in a month at a 7 percent example rate. How much sales tax should it set aside?

A. 2,140 dollars

B. 140 dollars

C. 70 dollars

D. 14 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F1-Q1
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TAX.03 (local)

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Customers paid 1,060 dollars including 6 percent tax. How much was the sale before tax?

A. 996.40 dollars

B. 1,060 dollars

C. 63.60 dollars

D. 1,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F1-Q2
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TAX.03 (local)

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A new seller plans to start collecting sales tax. What should she do first?

A. Collect it right away and keep it as business profit
B. Check whether she needs a permit or account in her state
C. Pick any rate she likes
D. Wait to see if anyone complains

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F1-Q3
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.TAX.03 (local)

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A seller collected 300 dollars of sales tax and spent it on supplies. What problem does she face?

A. None; collected tax is hers to spend
B. She still owes 300 dollars to the tax agency
C. The tax is cancelled automatically
D. She owes nothing because she spent it on business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F1-Q4
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TAX.03 (local)

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Which statement correctly separates the two taxes?

A. Income tax is collected from each customer
B. Sales tax is calculated from profit
C. Sales tax is collected on sales; income tax is on profit
D. Both taxes are really the same thing with two different names

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F1-Q5
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TAX.03 (local)

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A seller ships to customers in several states. What should she check?

A. Only her own state, since others never apply
B. Each state's rules on when sales tax applies
C. Only the shipping company's policy
D. Nothing; online sales are never taxed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F2-Q1
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TAX.03 (local)

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A service business wonders whether its services are taxable. What should it do?

A. Check the state's rules for that service
B. Assume no services are ever taxable
C. Ask a customer to decide
D. Assume every service is taxable

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F2-Q2
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TAX.03 (local)

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A customer claims to be tax-exempt. What should the business usually ask for?

A. Nothing; a verbal claim is always enough
B. The customer's bank password
C. A higher price instead
D. The documentation the state requires

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F2-Q3
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TAX.03 (local)

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Sales tax of 450 dollars was collected but filed late. What might result?

A. The tax is forgiven

B. Penalties or interest under state rules

C. Nothing at all, ever

D. A bonus refund from the state for paying at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F2-Q4
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TAX.03 (local)

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Which statement is accurate?

A. Sales tax rules depend on the place and the item or service, so check officially.

B. Sales tax is always the seller's profit.

C. There is one national sales tax rate.

D. Income tax and sales tax are filed together on one form in every state.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F2-Q5
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TAX.03 (local)

Set 66: Self-employment tax and estimated payments

Outcome ENT.TAX.04: Explain the ideas of self-employment tax and paying estimated tax during the year

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
An employee usually has taxes WITHHELD (taken out) from each paycheck. A self-employed person usually does not, so two ideas matter. SELF-EMPLOYMENT TAX covers Social Security and Medicare on net earnings from self-employment; an employer would normally pay part of these for an employee, but a self-employed person pays them. ESTIMATED TAX PAYMENTS: because tax is pay-as-you-go, a self-employed person may need to send payments during the year instead of waiting until the return. This course teaches the ideas; rates and deadlines change, so check the IRS.

What does withheld mean for an employee's paycheck?

A. Her taxes are cancelled for the year
B. Her boss keeps her bonus as a reward
C. Her paycheck is held by the bank for a month
D. Taxes are taken out before she is paid

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-M-Q1
Entrepreneurship, Set 66: Self-employment tax and estimated payments · MAIN · Q1/5 · Outcome ENT.TAX.04 (local)

Learn
An employee usually has taxes WITHHELD (taken out) from each paycheck. A self-employed person usually does not, so two ideas matter. SELF-EMPLOYMENT TAX covers Social Security and Medicare on net earnings from self-employment; an employer would normally pay part of these for an employee, but a self-employed person pays them. ESTIMATED TAX PAYMENTS: because tax is pay-as-you-go, a self-employed person may need to send payments during the year instead of waiting until the return. This course teaches the ideas; rates and deadlines change, so check the IRS.

What does self-employment tax cover?

A. Sales tax collected from every customer
B. Social Security and Medicare on net earnings
C. Property tax on the owner's home
D. Import fees on goods from abroad

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-M-Q2
Entrepreneurship, Set 66: Self-employment tax and estimated payments · MAIN · Q2/5 · Outcome ENT.TAX.04 (local)

Learn
An employee usually has taxes WITHHELD (taken out) from each paycheck. A self-employed person usually does not, so two ideas matter. SELF-EMPLOYMENT TAX covers Social Security and Medicare on net earnings from self-employment; an employer would normally pay part of these for an employee, but a self-employed person pays them. ESTIMATED TAX PAYMENTS: because tax is pay-as-you-go, a self-employed person may need to send payments during the year instead of waiting until the return. This course teaches the ideas; rates and deadlines change, so check the IRS.

Why might a self-employed person make estimated payments?

A. To earn interest from the tax agency on the money
B. Because they are optional gifts
C. To avoid keeping records
D. Tax is pay-as-you-go and nothing is withheld

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-M-Q3
Entrepreneurship, Set 66: Self-employment tax and estimated payments · MAIN · Q3/5 · Outcome ENT.TAX.04 (local)

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Is self-employment tax based on total sales or net earnings?

A. The owner's age
B. Net earnings
C. The number of customers
D. Total sales before costs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-M-Q4
Entrepreneurship, Set 66: Self-employment tax and estimated payments · MAIN · Q4/5 · Outcome ENT.TAX.04 (local)

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Where should a person check current rates and deadlines?

A. A random blog from years ago
B. A customer
C. A competitor
D. The IRS

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-M-Q5
Entrepreneurship, Set 66: Self-employment tax and estimated payments · MAIN · Q5/5 · Outcome ENT.TAX.04 (local)

Learn
Think of a bus pass you top up every month versus waiting to pay for a whole year of rides at once. An employee's taxes are topped up every paycheck by the employer. A self-employed person has no one doing that, so they top up themselves with estimated payments during the year. Waiting until the end can mean a large bill all at once.

An employee's taxes are like what?

A. A pass that customers pay for on her behalf
B. A pass never paid
C. A pass topped up every paycheck by the employer
D. A free pass

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-B1-Q1
Entrepreneurship, Set 66: Self-employment tax and estimated payments · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TAX.04 (local)

Learn
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Who tops up for a self-employed person?

A. Their employer
B. The person themselves
C. Their regular customers
D. The bank

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-B1-Q2
Entrepreneurship, Set 66: Self-employment tax and estimated payments · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TAX.04 (local)

Learn
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What can happen if a self-employed person waits until the end?

A. The bill simply vanishes
B. A smaller bill
C. A large bill all at once
D. A free year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-B1-Q3
Entrepreneurship, Set 66: Self-employment tax and estimated payments · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TAX.04 (local)

Learn
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Estimated payments are like what?

A. Topping up the pass during the year
B. A refund
C. A fee charged to every customer
D. Skipping payments

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-B1-Q4
Entrepreneurship, Set 66: Self-employment tax and estimated payments · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TAX.04 (local)

Learn
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Why does the employee not need to top up alone?

A. Taxes are optional
B. Customers pay their taxes for them
C. Employees pay no tax
D. The employer withholds taxes from pay

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-B1-Q5
Entrepreneurship, Set 66: Self-employment tax and estimated payments · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TAX.04 (local)

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Ana left a job with withholding and now freelances full time. What changed about her taxes?

A. Her clients must pay her taxes for her
B. Nobody withholds tax, so she may need estimated payments
C. Freelancers never owe any tax at all
D. Her old employer still withholds tax for her each month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F1-Q1
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TAX.04 (local)

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Ben's side business earns net profit. He also has a job with withholding. What should he check?

A. Whether his withholding covers the extra tax
B. Only his customers' tax situations
C. Only his job's vacation policy
D. Nothing, because side income is never taxed at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F1-Q2
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TAX.04 (local)

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Sales are 30,000 dollars and business expenses are 12,000 dollars. What are net earnings (ignoring other adjustments)?

A. 12,000 dollars
B. 18,000 dollars
C. 30,000 dollars
D. 42,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F1-Q3
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A freelancer plans to pay all tax once, at filing time, after a profitable year. What risk does she face?

A. No risk at all
B. A guaranteed refund
C. Lower taxes than everyone else who pays during the year
D. A large bill and possible penalties for not paying during the year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F1-Q4
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TAX.04 (local)

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Which record helps calculate net earnings?

A. A list of social media followers
B. A logo file
C. A ledger of sales and expenses
D. A photo of the workspace

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F1-Q5
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TAX.04 (local)

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Income is very uneven: big in summer, small in winter. What helps with estimated payments?

A. Ignoring payments in good months
B. Paying a random amount once a year in December
C. Tracking income each quarter and adjusting
D. Stopping record keeping in winter

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F2-Q1
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TAX.04 (local)

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A freelancer missed an estimated payment. What is a sensible step?

A. Wait several years until someone from the IRS asks
B. Stop working to avoid taxes
C. Assume it is forgiven automatically
D. Pay as soon as possible and check IRS guidance

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F2-Q2
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TAX.04 (local)

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A friend tells her a specific self-employment tax rate from memory. What should she do?

A. Confirm it with the current IRS page
B. Ask a customer
C. Ignore self-employment taxes altogether
D. Use it without checking

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F2-Q3
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TAX.04 (local)

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Which situation most clearly needs a tax professional's help?

A. Choosing a font for invoices
B. Deciding on a logo color
C. Several income sources and big swings in profit
D. Picking a business email name for clients

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F2-Q4
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TAX.04 (local)

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Which statement is accurate for this course?

A. Self-employed people never pay Social Security or Medicare taxes.
B. It teaches why these taxes exist, not current rates or dates.
C. Estimated payments are only for corporations.
D. It gives the exact current tax rate.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F2-Q5
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TAX.04 (local)

Set 67: Setting money aside for taxes

Outcome ENT.TAX.05: Set aside a stated share of profit for taxes using an assumed rate

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn

Because taxes for the self-employed are not withheld, a simple habit is to move a set percentage of each payment into a separate tax savings account. The right percentage depends on your situation; this course uses percentages like 25 or 30 percent only as PRACTICE ASSUMPTIONS, not as advice. Example with a 25 percent assumption: a 2,000-dollar payment means moving 500 dollars to tax savings. Check the amount with a tax professional or IRS tools, and adjust when income changes.

With a 25 percent assumption, how much of a 1,200-dollar payment goes to tax savings?

A. 1,200 dollars

B. 300 dollars

C. 900 dollars

D. 25 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-M-Q1

Entrepreneurship, Set 67: Setting money aside for taxes · MAIN · Q1/5 · Outcome ENT.TAX.05 (local)

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Why use a separate tax savings account?

A. Because tax agencies require a special account
B. Because it earns guaranteed high returns
C. So tax money is not spent by mistake
D. Because it lowers the tax owed automatically

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-M-Q2
Entrepreneurship, Set 67: Setting money aside for taxes · MAIN · Q2/5 · Outcome ENT.TAX.05 (local)

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What does this course say about the 25 or 30 percent figures?

A. They never need checking
B. They are the official rate for every person
C. They are required by law
D. They are practice assumptions, not advice

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-M-Q3
Entrepreneurship, Set 67: Setting money aside for taxes · MAIN · Q3/5 · Outcome ENT.TAX.05 (local)

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With a 30 percent assumption, how much of a 500-dollar payment is set aside?

A. 350 dollars
B. 150 dollars
C. 30 dollars
D. 170 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-M-Q4
Entrepreneurship, Set 67: Setting money aside for taxes · MAIN · Q4/5 · Outcome ENT.TAX.05 (local)

Learn
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When should the percentage be reviewed?

A. Never; set it once and keep it forever
B. Only every ten years
C. When income or circumstances change
D. Only when a customer asks

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-M-Q5
Entrepreneurship, Set 67: Setting money aside for taxes · MAIN · Q5/5 · Outcome ENT.TAX.05 (local)

Learn
If you set aside a share of a payment, you keep the rest. Set aside = percent x payment; keep = payment - set aside. With 25 percent of 800: set aside 0.25 x 800 = 200, keep 800 - 200 = 600. Shortcut: keep = payment x (1 - percent) = 800 x 0.75 = 600. Check: 200 + 600 = 800. The two parts always add back to the full payment.

Set aside 20 percent of 1,000. How much is set aside?

A. 1,200
B. 800
C. 20
D. 200

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-B1-Q1
Entrepreneurship, Set 67: Setting money aside for taxes · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.TAX.05 (local)

Learn

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Set aside 20 percent of 1,000. How much is kept?

A. 800

B. 200

C. 1,020

D. 980

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-B1-Q2

Entrepreneurship, Set 67: Setting money aside for taxes · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.TAX.05 (local)

Learn

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Keep = payment x (1 - percent). For 30 percent, multiply by what?

A. 1.30

B. 0.30

C. 0.70

D. 70

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-B1-Q3

Entrepreneurship, Set 67: Setting money aside for taxes · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.TAX.05 (local)

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Set aside 25 percent of 400. How much is set aside?

A. 300

B. 100

C. 425

D. 25

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-B1-Q4

Entrepreneurship, Set 67: Setting money aside for taxes · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.TAX.05 (local)

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How do you check the split?

A. Kept must be zero
B. They must be equal
C. Multiply the two parts together to check
D. Set-aside plus kept equals the payment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-B1-Q5
Entrepreneurship, Set 67: Setting money aside for taxes · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.TAX.05 (local)

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A freelancer receives 1,500, 900 and 2,100 dollars in a month. With a 25 percent assumption, how much goes to tax savings?

A. 3,375 dollars
B. 4,500 dollars
C. 375 dollars
D. 1,125 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F1-Q1
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TAX.05 (local)

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A freelancer receives 1,500, 900 and 2,100 dollars in a month and sets aside 25 percent for taxes. How much is left for business and personal use?

A. 1,125 dollars
B. 3,375 dollars
C. 2,250 dollars
D. 4,500 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F1-Q2
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TAX.05 (local)

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Which habit is most reliable?

A. Keep tax money in the everyday spending account
B. Move whatever is left at the end of the year
C. Wait until the tax bill arrives to look for money
D. Move the tax share as soon as each payment arrives

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F1-Q3
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.TAX.05 (local)

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A seller sets aside 25 percent of each sale's full price, but much of the price is sales tax and costs. What should she reconsider?

A. Setting aside nothing at all

B. Mixing sales tax into her own savings

C. Setting aside 100 percent of every sale's full price for taxes

D. Basing the set-aside on profit, with sales tax handled separately

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F1-Q4

Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TAX.05 (local)

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Tax savings hold 2,400 dollars and an estimated payment of 1,800 dollars is due. What remains in savings?

A. 1,800 dollars
B. 4,200 dollars
C. 600 dollars
D. 2,400 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F1-Q5
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TAX.05 (local)

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A slow month tempts the owner to use the tax savings for rent. What is the risk?

A. She may not have money when tax is due
B. None; tax savings are just extra money
C. The tax bill shrinks automatically
D. Rent counts as a tax payment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F2-Q1
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TAX.05 (local)

Learn
Because taxes for the self-employed are not withheld, a simple habit is to move a set percentage of each payment into a separate tax savings account. The right percentage depends on your situation; this course uses percentages like 25 or 30 percent only as PRACTICE ASSUMPTIONS, not as advice. Example with a 25 percent assumption: a 2,000-dollar payment means moving 500 dollars to tax savings. Check the amount with a tax professional or IRS tools, and adjust when income changes.

Profit doubled this year. What should happen to the tax savings plan?

A. Keep the same dollar amount as before
B. Stop saving because profit is high
C. Spend the extra profit first
D. Review it, since tax may also rise

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F2-Q2
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TAX.05 (local)

Learn
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Using a 30 percent assumption on 18,000 dollars of profit gives what set-aside?

A. 540 dollars
B. 12,600 dollars
C. 5,400 dollars
D. 18,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F2-Q3
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TAX.05 (local)

Learn
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An owner is unsure whether 25 percent is enough for her situation. What is the best next step?

A. Pick 5 percent instead, so she keeps more money
B. Check with a tax professional or IRS tools
C. Guess and never revisit it
D. Ask her customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F2-Q4
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TAX.05 (local)

Learn
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Which statement is accurate?

A. Self-employed people never owe tax on their business profit.
B. 25 percent is always exactly right.
C. A set-aside habit is a plan; the right amount depends on the person.
D. Setting money aside is illegal.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F2-Q5
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TAX.05 (local)

Set 68: Records, tax forms and professional help

Outcome ENT.TAX.06: Keep records for the needed period, recognize payment-reporting forms as a concept, and know when to ask a tax professional

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

What does the IRS say is the general period for keeping supporting records?

A. 3 years, with longer periods in some situations
B. 1 month, after which records can be thrown away
C. Forever, for every single receipt in every case
D. Only until the money is spent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-M-Q1
Entrepreneurship, Set 68: Records, tax forms and professional help · MAIN · Q1/5 · Outcome ENT.TAX.06 (local)

Learn
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Which records should be kept?

A. Only social media posts about sales
B. Receipts, invoices, bank statements and mileage logs
C. Only the owner's favorite receipts
D. Only records of sales over 1,000 dollars each, and nothing else

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-M-Q2
Entrepreneurship, Set 68: Records, tax forms and professional help · MAIN · Q2/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

Which is a safe way to store records?

A. Thrown away after filing
B. One paper pile in a damp garage
C. Only in a phone with no backup
D. Scanned copies with a backup

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-M-Q3
Entrepreneurship, Set 68: Records, tax forms and professional help · MAIN · Q3/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

What do tax forms depend on?

A. The business structure
B. The owner's favorite color
C. The shop's paint
D. The number of social media posts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-M-Q4
Entrepreneurship, Set 68: Records, tax forms and professional help · MAIN · Q4/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

When should an owner ask a tax professional?

A. When the situation is complex or unclear
B. Only after a penalty arrives
C. Never, under any circumstance at all
D. Only to choose a logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-M-Q5
Entrepreneurship, Set 68: Records, tax forms and professional help · MAIN · Q5/5 · Outcome ENT.TAX.06 (local)

Learn
Picture a file box with one folder for each year. Each folder holds that year's receipts, invoices, bank statements and a copy of the tax return. When a folder is old enough that the period for that return has passed (generally 3 years, sometimes longer), it may be cleared out. Until then, it stays. A scanned copy is like a spare box kept somewhere else, in case the first one is lost.

Each folder in the box is for what?

A. One month only
B. One product
C. One year
D. One customer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-B1-Q1
Entrepreneurship, Set 68: Records, tax forms and professional help · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TAX.06 (local)

Learn
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What goes in a folder?

A. Only empty pages and blank tax forms from a store
B. Only ads
C. Only photos
D. That year's receipts, statements and return copy

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-B1-Q2
Entrepreneurship, Set 68: Records, tax forms and professional help · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TAX.06 (local)

Learn
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When may a folder be cleared out?

A. Never
B. After the period for that return has passed
C. The next day
D. Whenever the box gets full of papers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-B1-Q3
Entrepreneurship, Set 68: Records, tax forms and professional help · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TAX.06 (local)

Learn
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A scanned copy is like what?

A. A tax bill
B. A new receipt
C. A recycling bin for paper
D. A spare box kept elsewhere

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-B1-Q4
Entrepreneurship, Set 68: Records, tax forms and professional help · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TAX.06 (local)

Learn
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What is the general period mentioned?

A. 3 years
B. 3 months
C. 3 days
D. 30 years

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-B1-Q5
Entrepreneurship, Set 68: Records, tax forms and professional help · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

It is 2026. An owner wants to throw out receipts that support her 2025 return. What does the general rule suggest?

A. Keep them; the general period has not passed
B. Keep only half
C. Throw them out now
D. Throw out the copy of the 2025 return too

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F1-Q1
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TAX.06 (local)

Learn
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A flood destroys an owner's paper records. Which habit would have helped most?

A. Remembering amounts
B. Keeping records in the same basement
C. Writing totals on a sticky note
D. Scanned copies stored with a backup

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F1-Q2
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TAX.06 (local)

Learn
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Which situation most needs a tax professional?

A. Updating the website photo
B. Ordering new business cards with the LLC name on them
C. Hiring first employees and changing to an LLC in the same year
D. Choosing a coffee supplier

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F1-Q3
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.TAX.06 (local)

Learn
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An owner has 3 years of records with about 400 receipts per year. How many receipts is that?

A. 400 receipts
B. 133 receipts
C. 1,200 receipts
D. 403 receipts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F1-Q4
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TAX.06 (local)

Learn
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Which file name helps find records later?

A. "2026-03 receipts - supplies"
B. "misc final final v2 (new)"
C. "scan1"
D. "stuff"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F1-Q5
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TAX.06 (local)

Learn
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Some records need to be kept longer than 3 years. What should an owner do if unsure?

A. Throw everything out after exactly 3 years
B. Keep nothing
C. Check IRS guidance or ask a tax professional
D. Ask a customer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F2-Q1
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TAX.06 (local)

Learn
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Records for equipment the business still uses were bought 6 years ago. Why might they still matter?

A. They only matter for customers
B. They may support later tax items for that equipment
C. Equipment records are illegal to keep after five years
D. They never matter after purchase

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F2-Q2
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TAX.06 (local)

Learn

Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

A tax agency asks about a year with missing receipts. What can help?

A. Bank statements and other records for that year

B. New receipts created today for that year

C. Nothing at all

D. A guess

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F2-Q3

Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TAX.06 (local)

Learn
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An owner's accountant moves away and the owner has no copies of past returns. What lesson applies?

A. Accountants must keep records forever for you
B. Keep your own copies of filed returns
C. Returns are never needed again
D. Copies are illegal to keep

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F2-Q4
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TAX.06 (local)

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Which statement is accurate?

A. Only paper records count.
B. Professionals are never needed for taxes.
C. Keep records at least for the general period, and longer when rules require it.
D. All records can be thrown out the day after the tax return is filed.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F2-Q5
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TAX.06 (local)

Set 69: Quotes and proposals

Outcome ENT.PAY.01: Write or judge a quote that states the work, price and what is not included

Module: Foundation 9: Selling and getting paid

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

What does a quote tell a customer?

A. How much the business paid for its last tax return
B. Which competitor charges the lowest price nearby
C. How many hours the owner slept last week
D. What a job will cost before work begins

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-M-Q1
Entrepreneurship, Set 69: Quotes and proposals · MAIN · Q1/5 · Outcome ENT.PAY.01 (local)

Learn
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What should a clear quote state about scope?

A. What is included and what is not
B. Only the price, with no description of the work at all
C. Only the owner's years of experience in the field
D. A promise that every extra will be free of charge

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-M-Q2
Entrepreneurship, Set 69: Quotes and proposals · MAIN · Q2/5 · Outcome ENT.PAY.01 (local)

Learn
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What does "valid for 30 days" mean on a quote?

A. The customer pays 30 percent more after accepting
B. The price holds for 30 days
C. The work must be finished within 30 minutes
D. The quote can never be accepted after the first day

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-M-Q3
Entrepreneurship, Set 69: Quotes and proposals · MAIN · Q3/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

How should the price in a quote be built?

A. From whatever a friend charged years ago
B. From a quick guess on the spot
C. From costs and time
D. From the customer's budget alone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-M-Q4
Entrepreneurship, Set 69: Quotes and proposals · MAIN · Q4/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

What does a proposal usually add beyond a quote?

A. A copy of the owner's personal bank statements
B. Nothing at all; they are always identical
C. A list of the owner's favorite hobbies and interests
D. The problem, deliverables and timeline

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-M-Q5
Entrepreneurship, Set 69: Quotes and proposals · MAIN · Q5/5 · Outcome ENT.PAY.01 (local)

Learn
A good menu says "Burger with fries, 12 dollars; cheese is 1 dollar extra." You know what you get and what costs more. A bad menu says "Food, about 10, maybe more." A quote should read like the good menu: what is included, what is extra, and the price, so nobody is surprised when the bill arrives.

Which menu line is clearer?

A. "Prices change every hour"
B. "Burger with fries, 12 dollars; cheese 1 dollar extra"
C. "Food, about 10 dollars, maybe more, depending on the day"
D. "Ask the cook what it costs"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-B1-Q1
Entrepreneurship, Set 69: Quotes and proposals · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.PAY.01 (local)

Learn
A good menu says "Burger with fries, 12 dollars; cheese is 1 dollar extra." You know what you get and what costs more. A bad menu says "Food, about 10, maybe more." A quote should read like the good menu: what is included, what is extra, and the price, so nobody is surprised when the bill arrives.

"Cheese 1 dollar extra" is like what in a quote?

A. A tax on all food
B. A discount
C. A free gift for every customer who orders
D. An item not included in the base price

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-B1-Q2
Entrepreneurship, Set 69: Quotes and proposals · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.PAY.01 (local)

Learn
A good menu says "Burger with fries, 12 dollars; cheese is 1 dollar extra." You know what you get and what costs more. A bad menu says "Food, about 10, maybe more." A quote should read like the good menu: what is included, what is extra, and the price, so nobody is surprised when the bill arrives.

Why is "about 10, maybe more" a problem?

A. It is always cheaper
B. The customer cannot know the final price
C. It makes the cooking go faster in the kitchen
D. It is required by law

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-B1-Q3
Entrepreneurship, Set 69: Quotes and proposals · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.PAY.01 (local)

Learn
A good menu says "Burger with fries, 12 dollars; cheese is 1 dollar extra." You know what you get and what costs more. A bad menu says "Food, about 10, maybe more." A quote should read like the good menu: what is included, what is extra, and the price, so nobody is surprised when the bill arrives.

A clear quote should read like what?

A. A blank page
B. The good menu
C. The bad menu
D. A shopping list

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-B1-Q4
Entrepreneurship, Set 69: Quotes and proposals · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.PAY.01 (local)

Learn
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What does a clear menu prevent?

A. Surprises when the bill arrives
B. Taxes being paid
C. Customers ordering food at all
D. The cook working

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-B1-Q5
Entrepreneurship, Set 69: Quotes and proposals · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

A painter estimates 12 hours at 40 dollars an hour plus 180 dollars of paint. What should the quote total be?

A. 220 dollars
B. 180 dollars
C. 480 dollars
D. 660 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F1-Q1
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PAY.01 (local)

Learn
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Which quote is clearest?

A. "Rooms painted, price depends on my mood"
B. "Paint 2 bedrooms, walls only, 660 dollars, valid 30 days"
C. "Painting, around 600 or so, and we will see about the rest later"
D. "Whatever you think is fair for the painting"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F1-Q2
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

A client asks whether ceilings are included. The quote said "walls only." What does the quote show?

A. Ceilings are included at no extra charge
B. The whole house is included
C. Ceilings are not included
D. The quote is no longer valid

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F1-Q3
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PAY.01 (local)

Learn
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A quote requires a 30 percent deposit on 660 dollars. How much is the deposit?

A. 220 dollars
B. 30 dollars
C. 462 dollars
D. 198 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F1-Q4
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

A customer accepts a quote 45 days after it was sent; it was valid for 30 days and paint prices rose. What may the owner do?

A. Refuse to speak to the customer
B. Honor any old price forever
C. Double the price without any explanation to the customer
D. Update the quote, since the validity period passed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F1-Q5
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

An owner quoted 400 dollars, then realized the job will take twice as long as planned. What is a fair approach?

A. Abandon the job without notice
B. Explain early and agree on any change before doing extra work
C. Charge 800 dollars at the end without any warning to the client
D. Quietly do half the work

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F2-Q1
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

A client pressures for a quote on the spot without details. What is the best response?

A. Ask questions or give a range with clear assumptions
B. Refuse to ever quote
C. Promise unlimited work for one price
D. Give a firm low number right away just to win the job

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F2-Q2
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

A quote omitted travel time; travel adds 3 hours at 40 dollars. How much was underquoted?

A. 13 dollars
B. 120 dollars
C. 43 dollars
D. 40 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F2-Q3
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PAY.01 (local)

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Two quotes for the same job: one 30 percent cheaper with no scope listed. What should a customer consider?

A. Only the lower number
B. Only the company logo
C. Nothing else
D. What is actually included

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F2-Q4
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

Which statement is accurate?

A. Quotes are never binding in any way.
B. A clear quote protects both the customer and the business.
C. Exclusions should be hidden.
D. Vague quotes help businesses charge more fairly in the long run.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F2-Q5
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PAY.01 (local)

Set 70: Invoices, payment terms and deposits

Outcome ENT.PAY.02: Read and set payment terms, due dates and deposits

Module: Foundation 9: Selling and getting paid

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
PAYMENT TERMS say when and how the customer will pay. Write them in the quote or contract before work starts: the deposit amount, when the balance is due (for example "due on completion" or "Net 15"), accepted payment methods, and any late fee if allowed where you operate. For larger jobs, MILESTONE payments split the price into parts paid at stages, such as 30 percent to start, 40 percent at the midpoint, 30 percent at the end.

When should payment terms be written down?

A. After the customer refuses to pay
B. Only if the job is under 10 dollars
C. Never; spoken promises are always enough
D. Before work starts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-M-Q1
Entrepreneurship, Set 70: Invoices, payment terms and deposits · MAIN · Q1/5 · Outcome ENT.PAY.02 (local)

Learn
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What are milestone payments?

A. A single payment made a year after the job
B. A discount for paying in cash only
C. Payments split into parts at stages of a job
D. A fee for driving past a mile marker

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-M-Q2
Entrepreneurship, Set 70: Invoices, payment terms and deposits · MAIN · Q2/5 · Outcome ENT.PAY.02 (local)

Learn
PAYMENT TERMS say when and how the customer will pay. Write them in the quote or contract before work starts: the deposit amount, when the balance is due (for example "due on completion" or "Net 15"), accepted payment methods, and any late fee if allowed where you operate. For larger jobs, MILESTONE payments split the price into parts paid at stages, such as 30 percent to start, 40 percent at the midpoint, 30 percent at the end.

A 5,000-dollar job uses 30/40/30 milestones. How much is due at the midpoint?

A. 2,000 dollars
B. 1,500 dollars
C. 3,000 dollars
D. 5,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-M-Q3
Entrepreneurship, Set 70: Invoices, payment terms and deposits · MAIN · Q3/5 · Outcome ENT.PAY.02 (local)

Learn
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Which item belongs in payment terms?

A. The customer's home décor style
B. Accepted payment methods
C. The owner's favorite song
D. A list of competitors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-M-Q4
Entrepreneurship, Set 70: Invoices, payment terms and deposits · MAIN · Q4/5 · Outcome ENT.PAY.02 (local)

Learn
PAYMENT TERMS say when and how the customer will pay. Write them in the quote or contract before work starts: the deposit amount, when the balance is due (for example "due on completion" or "Net 15"), accepted payment methods, and any late fee if allowed where you operate. For larger jobs, MILESTONE payments split the price into parts paid at stages, such as 30 percent to start, 40 percent at the midpoint, 30 percent at the end.

Before adding a late fee to terms, what should be checked?

A. Whether customers will like it
B. Whether it rhymes with the business name
C. Whether it is allowed where you operate
D. Nothing; any fee is always allowed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-M-Q5
Entrepreneurship, Set 70: Invoices, payment terms and deposits · MAIN · Q5/5 · Outcome ENT.PAY.02 (local)

Learn
To split a total into milestone payments, multiply the total by each percent. The percents must add up to 100. Example: 2,000 dollars at 25/50/25 gives 0.25 x 2,000 = 500, 0.50 x 2,000 = 1,000, and 500. Check: 500 + 1,000 + 500 = 2,000. If the parts do not add up to the total, a percent is wrong.

What is 25 percent of 4,000?

A. 250
B. 4,025
C. 3,000
D. 1,000

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-B1-Q1
Entrepreneurship, Set 70: Invoices, payment terms and deposits · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PAY.02 (local)

Learn
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Do 30, 40 and 30 percent add to 100?

A. Yes
B. No, they add to 110
C. No, they add to 90
D. No, they add to 70

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-B1-Q2
Entrepreneurship, Set 70: Invoices, payment terms and deposits · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PAY.02 (local)

Learn
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1,200 at 50/50. What is each payment?

A. 50
B. 1,200
C. 600
D. 500

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-B1-Q3
Entrepreneurship, Set 70: Invoices, payment terms and deposits · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PAY.02 (local)

Learn
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A plan says 20/30/40 percent. What is wrong?

A. Percents cannot be used
B. The parts add to 110 percent
C. Nothing is wrong at all
D. The parts add to only 90 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-B1-Q4
Entrepreneurship, Set 70: Invoices, payment terms and deposits · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PAY.02 (local)

Learn
To split a total into milestone payments, multiply the total by each percent. The percents must add up to 100. Example: 2,000 dollars at 25/50/25 gives 0.25 x 2,000 = 500, 0.50 x 2,000 = 1,000, and 500. Check: 500 + 1,000 + 500 = 2,000. If the parts do not add up to the total, a percent is wrong.

3,000 at 40/60. What is the second payment?

A. 600
B. 1,800
C. 1,200
D. 3,000

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-B1-Q5
Entrepreneurship, Set 70: Invoices, payment terms and deposits · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PAY.02 (local)

Learn
PAYMENT TERMS say when and how the customer will pay. Write them in the quote or contract before work starts: the deposit amount, when the balance is due (for example "due on completion" or "Net 15"), accepted payment methods, and any late fee if allowed where you operate. For larger jobs, MILESTONE payments split the price into parts paid at stages, such as 30 percent to start, 40 percent at the midpoint, 30 percent at the end.

A web designer takes an 8-week, 6,000-dollar project and must buy software licenses at the start. Which terms fit?

A. A deposit up front with milestone payments

B. Full payment 90 days after finishing

C. No written terms, just trust

D. Payment only if the client is fully happy, someday

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F1-Q1
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PAY.02 (local)

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PAYMENT TERMS say when and how the customer will pay. Write them in the quote or contract before work starts: the deposit amount, when the balance is due (for example "due on completion" or "Net 15"), accepted payment methods, and any late fee if allowed where you operate. For larger jobs, MILESTONE payments split the price into parts paid at stages, such as 30 percent to start, 40 percent at the midpoint, 30 percent at the end.

Terms: 25 percent deposit, balance due on completion, for a 2,400-dollar job. What is the balance?

A. 600 dollars
B. 2,400 dollars
C. 2,375 dollars
D. 1,800 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F1-Q2
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PAY.02 (local)

Learn
PAYMENT TERMS say when and how the customer will pay. Write them in the quote or contract before work starts: the deposit amount, when the balance is due (for example "due on completion" or "Net 15"), accepted payment methods, and any late fee if allowed where you operate. For larger jobs, MILESTONE payments split the price into parts paid at stages, such as 30 percent to start, 40 percent at the midpoint, 30 percent at the end.

A client wants to pay by a method the business does not accept. What helps avoid this?

A. Listing accepted methods in the terms
B. Accepting any method a stranger suggests
C. Changing methods after the work is done
D. Refusing to say how to pay

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F1-Q3
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PAY.02 (local)

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Which written term is clearest?

A. "Payment expected at some point soon"
B. "Balance due within 15 days of the invoice date by bank transfer or card"
C. "Pay whenever you can, I guess, by however works best for you"
D. "We will talk about money later on"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F1-Q4
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PAY.02 (local)

Learn
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A 3,000-dollar project at 30/40/30: the client paid the deposit and the midpoint. How much is still owed?

A. 3,000 dollars
B. 2,100 dollars
C. 900 dollars
D. 1,200 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F1-Q5
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PAY.02 (local)

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A client has not paid the midpoint milestone but wants the next phase started. What does good practice suggest?

A. Delete the client's files

B. Pause the next phase until the milestone is paid, as the terms say

C. Double the price as punishment

D. Start the next phase anyway and simply hope the missing payment comes later

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F2-Q1
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PAY.02 (local)

Learn
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A client asks to change terms from Net 15 to Net 60 after signing. What should the owner do?

A. Stop all communication
B. Agree verbally and change nothing in the written terms
C. Accept every request automatically
D. Decide whether to agree, and put any change in writing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F2-Q2
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PAY.02 (local)

Learn
PAYMENT TERMS say when and how the customer will pay. Write them in the quote or contract before work starts: the deposit amount, when the balance is due (for example "due on completion" or "Net 15"), accepted payment methods, and any late fee if allowed where you operate. For larger jobs, MILESTONE payments split the price into parts paid at stages, such as 30 percent to start, 40 percent at the midpoint, 30 percent at the end.

Terms say a 1.5 percent monthly late fee (where allowed). A 1,000-dollar balance is 2 months late. What is the simple total of the fees?

A. 30 dollars

B. 300 dollars

C. 3 dollars

D. 15 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F2-Q3
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PAY.02 (local)

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An owner forgot to write terms and the client pays 75 days later. What lesson applies?

A. Clients always pay on time
B. Terms only matter for big companies
C. Never work for clients again
D. Put terms in writing before starting

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F2-Q4
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PAY.02 (local)

Learn
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Which statement is accurate?

A. Milestones are illegal for small jobs.
B. Late fees are allowed everywhere.
C. Written terms guarantee that every single client will always pay early.
D. Clear written terms make late payments less likely and easier to address.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F2-Q5
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PAY.02 (local)

Set 71: Cancellations, refunds and expectations

Outcome ENT.PAY.03: Write clear cancellation and refund terms and apply them consistently

Module: Foundation 9: Selling and getting paid

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A CANCELLATION POLICY says what happens if a customer cancels: for example, "full refund if cancelled 7 days before; 50 percent refund within 7 days; no refund within 24 hours." Policies protect your time, because a last-minute cancellation leaves a slot you may not fill. Set EXPECTATIONS too: what the customer will receive, when, and how to contact you. Share the policy before booking, apply it consistently, and allow exceptions only on purpose, such as emergencies.

Why have a cancellation policy?

A. Last-minute cancellations leave slots you may not fill
B. Because the law requires the same policy everywhere
C. To stop customers from ever booking again
D. To avoid writing any expectations at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-M-Q1
Entrepreneurship, Set 71: Cancellations, refunds and expectations · MAIN · Q1/5 · Outcome ENT.PAY.03 (local)

Learn
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Using the example policy, a 200-dollar booking is cancelled 3 days before. What is refunded?

A. 0 dollars
B. 50 dollars
C. 200 dollars
D. 100 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-M-Q2
Entrepreneurship, Set 71: Cancellations, refunds and expectations · MAIN · Q2/5 · Outcome ENT.PAY.03 (local)

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When should the policy be shared?

A. Only to customers who complain
B. Never; it is private
C. Before booking
D. Only after a cancellation happens

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-M-Q3
Entrepreneurship, Set 71: Cancellations, refunds and expectations · MAIN · Q3/5 · Outcome ENT.PAY.03 (local)

Learn
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What does applying a policy consistently mean?

A. Treating similar cases the same way
B. Applying it only to new customers
C. Changing the rules for every customer randomly
D. Ignoring the policy whenever it is inconvenient

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-M-Q4
Entrepreneurship, Set 71: Cancellations, refunds and expectations · MAIN · Q4/5 · Outcome ENT.PAY.03 (local)

Learn
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Which is a reasonable planned exception?

A. A customer who is simply bored
B. Anyone who complains loudly
C. A documented emergency
D. A friend of a friend asking nicely

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-M-Q5
Entrepreneurship, Set 71: Cancellations, refunds and expectations · MAIN · Q5/5 · Outcome ENT.PAY.03 (local)

Learn
When you buy a theater ticket, the theater holds a seat for you and turns other people away. If you cancel an hour before, the seat is probably empty. That is why tickets often have rules about refunds. A service business is similar: an appointment holds a slot of the owner's time. A cancellation policy is the ticket rules for that slot.

A booked appointment is like what?

A. A free gift for coming
B. A seat held at a show
C. A coupon
D. A tax

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-B1-Q1
Entrepreneurship, Set 71: Cancellations, refunds and expectations · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.PAY.03 (local)

Learn
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Why do late cancellations hurt the theater?

A. The seat is probably left empty
B. The empty seat gets bigger
C. Tickets become free
D. The show gets longer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-B1-Q2
Entrepreneurship, Set 71: Cancellations, refunds and expectations · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.PAY.03 (local)

Learn
When you buy a theater ticket, the theater holds a seat for you and turns other people away. If you cancel an hour before, the seat is probably empty. That is why tickets often have rules about refunds. A service business is similar: an appointment holds a slot of the owner's time. A cancellation policy is the ticket rules for that slot.

A cancellation policy is like what?

A. A map
B. A cooking recipe
C. A menu
D. Ticket refund rules

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-B1-Q3
Entrepreneurship, Set 71: Cancellations, refunds and expectations · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.PAY.03 (local)

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What does the theater do when it holds your seat?

A. Sells it twice to two people
B. Closes early
C. Turns other people away
D. Gives it away

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-B1-Q4
Entrepreneurship, Set 71: Cancellations, refunds and expectations · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.PAY.03 (local)

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For a service business, the "seat" is what?

A. A slot of the owner's time
B. A parking spot
C. A product on a shelf
D. A chair in the waiting lobby

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-B1-Q5
Entrepreneurship, Set 71: Cancellations, refunds and expectations · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.PAY.03 (local)

Learn
A CANCELLATION POLICY says what happens if a customer cancels: for example, "full refund if cancelled 7 days before; 50 percent refund within 7 days; no refund within 24 hours." Policies protect your time, because a last-minute cancellation leaves a slot you may not fill. Set EXPECTATIONS too: what the customer will receive, when, and how to contact you. Share the policy before booking, apply it consistently, and allow exceptions only on purpose, such as emergencies.

Policy: full refund 7+ days before; 50 percent within 7 days; none within 24 hours. A 300-dollar session is cancelled 12 hours before. What is refunded?

A. 300 dollars

B. 75 dollars

C. 0 dollars

D. 150 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F1-Q1
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PAY.03 (local)

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Policy: full refund 7+ days before; 50 percent within 7 days; none within 24 hours. A 300-dollar booking is cancelled 10 days before. What is refunded?

A. 300 dollars

B. 30 dollars

C. 150 dollars

D. 0 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F1-Q2
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PAY.03 (local)

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A photographer loses 4 late-cancelled sessions a month at 150 dollars each. How much income is at risk without a policy?

A. 154 dollars
B. 37.50 dollars
C. 150 dollars
D. 600 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F1-Q3
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PAY.03 (local)

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Which expectation statement is clearest?

A. "Ask me later about what you get."
B. "You will get some photos at some point."
C. "You will receive 20 edited photos within 10 days by email."
D. "Photos come whenever they are ready, eventually, by some method."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F1-Q4
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PAY.03 (local)

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A customer cancels because of a hospital emergency 6 hours before. The policy allows emergency exceptions. What fits?

A. Charge double for the trouble
B. Apply the planned exception
C. Refuse because rules are rules
D. Ignore the message

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F1-Q5
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PAY.03 (local)

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A customer says she never saw the policy. What prevents this next time?

A. Changing the policy after booking
B. Requiring a checkbox or signature showing the policy was read
C. Never having a policy at all
D. Hiding the policy in tiny text at the very bottom of the site

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F2-Q1
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PAY.03 (local)

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One client cancels late every month. What is a reasonable step?

A. Insult the client online
B. Require a nonrefundable deposit for that client's bookings
C. Keep giving that client full refunds forever, no matter what
D. Stop working entirely

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F2-Q2
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PAY.03 (local)

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A 50 percent refund was promised but the owner refunds only 30 percent of 200 dollars. How much is still owed to the customer?

A. 100 dollars

B. 40 dollars

C. 60 dollars

D. 140 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F2-Q3
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PAY.03 (local)

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Local consumer rules may override parts of a policy. What should the owner do?

A. Copy another state's policy
B. Ignore the rules
C. Check the rules where she operates
D. Assume her policy always wins

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F2-Q4
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PAY.03 (local)

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Which statement is accurate?

A. Policies cause more disputes than they prevent.
B. Exceptions should be random.
C. Refunds are never required.
D. A clear policy shared in advance prevents many disputes.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F2-Q5
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PAY.03 (local)

Set 72: Scope changes

Outcome ENT.PAY.04: Handle a request for extra work with a written change and new price

Module: Foundation 9: Selling and getting paid

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
SCOPE is the work agreed in the quote or contract. SCOPE CREEP happens when extra requests keep being added without changing the price or timeline. Handle changes with a short CHANGE ORDER: a written note describing the new request, its added cost and time, approved by the customer before you start it. Small favors can be fine, but decide on purpose. Uncontrolled scope creep turns a profitable job into a loss.

What is scope creep?

A. A supplier raising prices every year
B. Extra requests added without changing price or time
C. A customer paying an invoice a little early
D. A slow increase in the business's advertising budget

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-M-Q1
Entrepreneurship, Set 72: Scope changes · MAIN · Q1/5 · Outcome ENT.PAY.04 (local)

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What is a change order?

A. A written note of a new request with its cost and time
B. A new order of supplies placed with a wholesaler
C. A refund paid when a customer cancels
D. An order to change the company name

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-M-Q2
Entrepreneurship, Set 72: Scope changes · MAIN · Q2/5 · Outcome ENT.PAY.04 (local)

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When should the customer approve a change order?

A. Never; approval is not needed
B. Only if the change is free
C. Before the extra work starts
D. After the work is finished

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-M-Q3
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A 1,000-dollar job took 20 hours. Scope creep added 10 unpaid hours. What happened to the hourly earnings?

A. They fell by one third
B. They rose by 10 dollars an hour
C. They stayed exactly the same
D. They doubled because more work was done

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-M-Q4
Entrepreneurship, Set 72: Scope changes · MAIN · Q4/5 · Outcome ENT.PAY.04 (local)

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Are small favors ever acceptable?

A. Only for strangers
B. No, never under any circumstances
C. Yes, always, for every request
D. Yes, when decided on purpose

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-M-Q5
Entrepreneurship, Set 72: Scope changes · MAIN · Q5/5 · Outcome ENT.PAY.04 (local)

Learn
Imagine hiring a builder for a 2-room addition. Halfway through, you ask for a third room "while you're at it." A good builder writes down the extra room, its extra cost and extra time, and asks you to sign before starting. Without that note, the builder works for free or you get a surprise bill. A change order is that signed note.

The third room is like what?

A. A tax
B. The original plan
C. A scope change
D. A discount

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-B1-Q1
Entrepreneurship, Set 72: Scope changes · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.PAY.04 (local)

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What does a good builder write down?

A. Nothing
B. Only the start date of the room
C. Only the color
D. The extra room, cost and time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-B1-Q2
Entrepreneurship, Set 72: Scope changes · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.PAY.04 (local)

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Without a written note, what can happen?

A. Nothing at all
B. Faster building by the crew
C. Free work or a surprise bill
D. Lower taxes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-B1-Q3
Entrepreneurship, Set 72: Scope changes · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.PAY.04 (local)

Learn
Imagine hiring a builder for a 2-room addition. Halfway through, you ask for a third room "while you're at it." A good builder writes down the extra room, its extra cost and extra time, and asks you to sign before starting. Without that note, the builder works for free or you get a surprise bill. A change order is that signed note.

When does the customer sign?

A. After it is built
B. Before the extra room is started
C. Never
D. Only when it rains on the site

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-B1-Q4
Entrepreneurship, Set 72: Scope changes · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.PAY.04 (local)

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The signed note is called what?

A. A deed
B. A license
C. A store receipt
D. A change order

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-B1-Q5
Entrepreneurship, Set 72: Scope changes · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.PAY.04 (local)

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A designer agreed to 3 logo concepts for 900 dollars. The client asks for 2 more. Each concept takes 4 hours at 50 dollars. What should the change order add?

A. 400 dollars
B. 900 dollars
C. 100 dollars
D. 200 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F1-Q1
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Which change order is clearest?

A. "Extra work, maybe extra money, maybe not"
B. "Add 2 logo concepts, 400 dollars, 4 extra days. Approved: ____"
C. "Some more stuff added, and we will figure out the cost later"
D. "Will do it, do not worry about cost"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F1-Q2
Entrepreneurship, Set 72: Scope changes · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PAY.04 (local)

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A client says "Can you just quickly add a page?" to a website contract. What is the best first step?

A. Add it silently for free each time the client asks
B. Refuse to talk about it
C. Explain it is outside scope and offer a change order
D. Charge without telling the client

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F1-Q3
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An original job is 2,000 dollars and change orders add 300 and 150 dollars. What is the new total?

A. 450 dollars
B. 2,300 dollars
C. 2,150 dollars
D. 2,450 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F1-Q4
Entrepreneurship, Set 72: Scope changes · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PAY.04 (local)

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A tiny change takes 5 minutes, and the owner chooses to do it free. What makes this healthy rather than creep?

A. She hides it and hopes
B. She decided on purpose and tells the client it is a courtesy
C. She charges double later
D. She does every request the client makes for free, always

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F1-Q5
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A contract says "website design" with no details. Every request seems in scope to the client. What was missing?

A. A longer timeline only
B. A bigger logo on the contract
C. A lower price
D. A clear list of what is included

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F2-Q1
Entrepreneurship, Set 72: Scope changes · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PAY.04 (local)

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A client refuses to pay for a change order she approved in writing. What supports the owner?

A. The signed change order
B. Nothing; approvals do not matter
C. A social media post
D. A memory of a phone call

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F2-Q2
Entrepreneurship, Set 72: Scope changes · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PAY.04 (local)

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Scope creep added 15 hours to a job priced for 30 hours at an effective 40 dollars an hour. What is the new effective rate, to the nearest cent?

A. 20.00 dollars an hour
B. 26.67 dollars an hour
C. 40.00 dollars an hour
D. 60.00 dollars an hour

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F2-Q3
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A request changes the deadline but not the work. Does it need a change order?

A. Yes, timeline changes should be written too
B. Only if the client is new
C. No, deadlines never change
D. No, only changes to the price ever matter

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F2-Q4
Entrepreneurship, Set 72: Scope changes · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PAY.04 (local)

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Which statement is accurate?

A. Only large companies with big contracts need change orders.
B. Change orders insult clients.
C. Scope creep always helps profit.
D. Written change orders protect profit and the relationship.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F2-Q5
Entrepreneurship, Set 72: Scope changes · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PAY.04 (local)